The Equity Research Checklist (Tata Consultancy Services Ltd.)

Tata Consultancy Services Ltd. report generated from the filled checklist fields.

COMPANY	SECTOR	NSE SYMBOL	BSE SYMBOL
Tata Consultancy Services Ltd.	IT - Software	TCS	532540

QUESTIONS	GENERATED
99 total items	09_08_2026 10:01:37 PM

INDUSTRY RESEARCH

Item 1

Done

What stage is the Industry at? Innovation/ Growth / Maturity / Decline

ANSWER

1. Stage: Maturity transitioning into a new AI-led growth phase.

2. The Indian IT services industry is a mature industry with well-established global players such as TCS, Infosys, HCLTech, Wipro, Accenture, and Cognizant.

3. Traditional IT services like application maintenance, infrastructure management, ERP implementation, and outsourcing have reached the maturity stage.

4. Industry growth has moderated compared to the rapid expansion witnessed during the 2000s and 2010s.

5. Enterprises worldwide continue to invest in digital transformation, providing a stable long-term demand base.

6. A new growth cycle is emerging, driven by:

   a. Generative AI
   b. Agentic AI
   c. Cloud Migration
   d. Cybersecurity
   e. Data Engineering & Analytics
   f. Digital Engineering
   g. Enterprise Modernization

7. Enterprise AI adoption has progressed from pilot projects to production-scale deployments, creating new revenue opportunities for IT service providers.

8. TCS has reported strong AI-led deal wins, increased AI-related engagements, and investments in AI platforms and talent.

9. Although macroeconomic uncertainty and cautious discretionary spending have slowed short-term revenue growth, the long-term industry outlook remains favorable.

10. Overall Industry Stage: Maturity with a new AI-driven growth cycle.

SENTIMENT	WEIGHTAGE
Positive	95

SOURCES

1. TCS Annual Report FY2026
2. TCS Q1 FY27 Results
3. NASSCOM Industry Report
4. Business Standard (Indian IT Industry FY26 Outlook)
5. TCS Investor Relations
6. Economic Times (AI & Indian IT Services)

REMARKS

General Remarks:

1. Mature industry with high entry barriers.

2. AI is creating a new multi-year investment cycle.

3. Growth is expected to be non-linear, with productivity gains replacing headcount-led expansion.

4. Large firms like TCS are well positioned due to scale, client relationships, and AI investments, although short-term growth remains affected by cautious enterprise spending and pricing pressure.

Why it is Positive

1. Industry is not in Decline - The IT services industry continues to grow globally. Demand for digital transformation remains strong.

2. AI has created a new growth cycle - Generative AI, Agentic AI, Cloud AI, and Automation are creating new revenue opportunities for companies like TCS.

3. Strong long-term demand - Enterprises worldwide continue to invest in cloud migration, cybersecurity, analytics, AI, and digital engineering.

4. Large deal pipeline - TCS consistently wins multi-billion-dollar, multi-year transformation contracts, ensuring revenue visibility.

5. High entry barriers - Building TCS's scale, global delivery model, client trust, and skilled workforce takes decades, protecting incumbents.

6. Stable customer base - TCS serves thousands of enterprise clients across industries and geographies, reducing dependence on any single customer.

7. Strong profitability - Despite slower growth, leading IT services firms continue to generate healthy operating margins and cash flows.

8. Low capital intensity - The business requires relatively low physical capital, resulting in high Return on Equity (ROE) and strong free cash flow.

9. Industry leadership - India remains the global leader in offshore IT services, with TCS being the largest player by revenue and market capitalization.

10. Long-term structural tailwinds - AI adoption, cloud computing, cybersecurity, digital transformation, data modernization, and managed services are expected to drive demand for many years.

Weightage:

1. The global IT services industry is in the maturity stage, supported by established business models, a large global customer base, and high entry barriers.

2. However, the rapid adoption of Generative AI, Agentic AI, cloud computing, cybersecurity, and digital transformation has initiated a new growth cycle within the industry.

3. As the market leader, TCS is well positioned to benefit from these structural trends through its scale, diversified client portfolio, strong execution capabilities, and continued investments in AI-driven solutions.

4. While short-term growth may be moderated by macroeconomic uncertainty and cautious enterprise spending, the industry's long-term outlook remains favorable.

INDUSTRY RESEARCH

Item 2

Done

What is the Market Size of the Industry?

ANSWER

Projected Revenue: Reaching US$315 billion (approximately ₹27 lakh crore) in FY2025–26.

Growth Rate: 6.1% year-on-year growth, driven past the US$300 billion milestone for the first time.

Key Growth Drivers: IT services, business process management (BPM), engineering R&D (ER&D), software products, cloud computing, cybersecurity, data analytics, and artificial intelligence (AI).

Market Reach: Exports account for the majority of revenue, serving enterprise clients across North America, Europe, and Asia-Pacific.

Industry Outlook: Scale, diversified service offerings, and AI-led transformation point to an expanding addressable market for major players like TCS.

SENTIMENT
Positive

WEIGHTAGE
90

SOURCES
NASSCOM Strategic Review 2026:

Executive Summary / Key Highlights – states "India's tech sector is expected to cross US$315 billion by FY26." (Available in the Summary; in the full PDF this appears in the Executive Summary.) https://community.nasscom.in/index.php/communities/nasscom-insights/technology-sector-india-strategic-review-2026?utm_source=chatgpt.com

TCS Integrated Annual Report FY2025–26:

Pages 6–7 – About TCS, FY26 Highlights (Revenue US$30B, AI strategy, industry positioning).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Investor Relations:

FY25–26 Financial Highlights and Annual Report section.

https://www.tcs.com/investor-relations

Reuters:

Reports that India's IT industry is projected to reach US$315 billion in FY26, citing NASSCOM.

https://www.reuters.com/world/india/indias-technology-sector-grow-61-fiscal-2026-industry-body-says-2026-02-24/

REMARKS
Revenue Milestone: The sector has crossed US$300 billion and is projected to reach US$315 billion in FY26.

Core Growth Drivers: Expansion is powered by digital transformation, cloud adoption, AI-led services, engineering R&D, and cybersecurity.

Market Trend: Overall revenue growth has moderated relative to earlier years.

Long-Term Outlook: Robust industry scale, global leadership, and recurring enterprise demand provide a solid runway for sustained value creation.

INDUSTRY RESEARCH

Item 3

Done

Is the market size atleast 5x of company's sales?

ANSWER
Indian IT Industry Market Size (FY26):

US$315 billion (NASSCOM Strategic Review 2026)

TCS FY26 Revenue: US$30.18 billion (TCS Integrated Annual Report FY26)

Ratio = 315 ÷ 30.18 = 10.44x

Since 10.44x > 5x, the answer is Yes.

Industry vs. TCS Scale: The Indian technology industry's FY2025–26 projected revenue (~US$315 billion) is roughly 10.4 times TCS's reported revenue (~US$30.18 billion).

Addressable Market Potential: This substantial valuation gap highlights a large total addressable market with significant headroom for TCS to capture.

Primary Growth Pathways: Key avenues for expansion include increasing overall market share and capitalizing on high-demand domains like Generative AI and cybersecurity.

Enterprise Demand Driver: Continued enterprise-wide digital transformation across global markets provides a strong foundation for ongoing market share gains.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

NASSCOM Strategic Review 2026:

Executive Summary / Key Highlights – states "India's tech sector is expected to cross US$315 billion by FY26." (Available in the Summary; in the full PDF this appears in the Executive Summary.) https://community.nasscom.in/index.php/communities/nasscom-insights/technology-sector-india-strategic-review-2026?utm_source=chatgpt.com

TCS Integrated Annual Report FY2025–26:

Pages 6–7 – About TCS, FY26 Highlights (Revenue US$30B, AI strategy, industry positioning).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Investor Relations:

FY25–26 Financial Highlights and Annual Report section.

https://www.tcs.com/investor-relations

Reuters:

Reports that India's IT industry is projected to reach US$315 billion in FY26, citing NASSCOM.

https://www.reuters.com/world/india/indias-technology-sector-grow-61-fiscal-2026-industry-body-says-2026-02-24/

REMARKS

Why Positive?

1. Industry size is more than 10× TCS's revenue.
Significant runway remains for future growth.

2. Large addressable market reduces concerns about market saturation.

3. TCS can grow without requiring the overall market to expand dramatically.

Weightage:

Comparing the industry's size with the company's revenue helps determine whether sufficient market opportunity exists for sustained long-term growth.

Market vs. TCS Scale: The Indian IT industry's total addressable market is over 10 times larger than TCS's annual revenue, signaling substantial untapped headroom.

Key Growth Avenues: Expansion opportunities stem from gaining market share, delivering AI-led transformation, expanding cloud and cybersecurity services, and growing engineering R&D and geographic reach.

Long-Term Revenue Support: A large addressable market provides a durable runway for sustained top-line growth over time.

Low Saturation Risk: Broad industry size buffers against revenue stagnation, reducing the risk of growth being capped by market saturation.

INDUSTRY RESEARCH

Item 4

Done

Can the Industry Players increase price of their products each year?

ANSWER

Moderate Pricing Power: IT services firms cannot unilaterally or automatically raise prices each year like consumer goods companies.

Premium for Differentiated Services: Top players like TCS command higher rates for specialized, high-value offerings such as Generative AI, cloud transformation, digital engineering, and cybersecurity.

Competitive Pricing on Legacy Services: Traditional services (application maintenance, infrastructure support, standard dev) face intense competition and fixed multi-year contract constraints.

Drivers of Annual Rate Adjustments: Price increases typically rely on inflation clauses, wage inflation offsets, scope expansions, productivity gains, or transitioning clients to higher-value digital services.

Client & Procurement Realities: Broad-based price hikes are constrained by global enterprise procurement practices, client negotiations, and high market competition.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 83–88 – Management Discussion & Analysis: Market and Industry Context (enterprise technology spending, AI adoption, customer demand). Pages 18–27 – Corporate Overview & Strategy (AI-led strategy, value-based offerings).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Q1 FY27 Earnings Call / Results:

CEO and COO commentary under "Highlights of the Quarter" discussing AI-led transformation deals, customer demand, and growth in AI revenue.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

Accenture Annual Report FY2025:

Management's Discussion and Analysis (MD&A) – discusses demand for AI, cloud, consulting, pricing environment, and enterprise technology spending.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

NASSCOM Strategic Review 2026:

Executive Summary / Key Highlights – discusses industry growth drivers including AI, cloud, cybersecurity, engineering R&D, and digital transformation that enable higher-value services.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

REMARKS

Current Pricing Power Dynamics: The IT services industry operates with moderate overall pricing power, preventing firms from applying uniform, cross-board annual price hikes.

Premium Capabilities: Industry leaders like TCS can command premium rates for specialized, high-value domains such as GenAI, enterprise cloud transformation, cybersecurity, and strategic consulting by linking fees to measurable business outcomes.

Pressure on Legacy Services: Pricing for standard, commodity services (traditional application maintenance and infrastructure support) stays tightly constrained due to strong market competition and client-driven contract negotiations.

Future Outlook: As client demand shifts further toward integrated AI-led and value-based service delivery, the industry's overall leverage and pricing strength are expected to steadily improve over time.

INDUSTRY RESEARCH

Done

Item 5

What are the key success factors in the Industry?

ANSWER

The success of the global IT services industry depends on the ability to deliver high-quality, scalable, and innovative technology solutions while maintaining strong client relationships and operational efficiency.

Key success factors include a highly skilled workforce, continuous investment in emerging technologies such as Artificial Intelligence (AI), cloud computing, cybersecurity, data analytics, and digital engineering, along with deep domain expertise across industries.

Companies that possess a diversified global client base, strong brand reputation, proven execution capabilities, global delivery centers, robust cybersecurity practices, and long-term customer relationships are better positioned to secure large transformation deals and sustain growth.

Operational excellence, continuous innovation, talent development, strategic partnerships with hyperscalers and technology vendors, and the ability to adapt to rapidly evolving customer requirements remain critical drivers of long-term success.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview (AI, innovation, customer-centricity, talent). Pages 83–88 – Management Discussion & Analysis (industry trends and competitive positioning).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Investor Presentation FY26:

Strategy, capabilities, AI, cloud, and customer transformation highlights.

https://www.tcs.com/investor-relations

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – AI, cloud, engineering R&D, digital transformation, talent, and innovation.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Accenture Annual Report FY2025:

MD&A – Industry trends, AI adoption, cloud, talent, and client demand.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

REMARKS

Success in the IT services industry is driven by scale, skilled talent, technological leadership, client trust, innovation, and execution excellence rather than price alone.

TCS possesses strong competitive advantages across these areas through its global delivery model, diversified customer base, significant investments in AI and cloud technologies, extensive partner ecosystem, and decades of execution experience, positioning it well for long-term growth.

Key Success Factors (Quick Summary)
Skilled and continuously upskilled workforce
AI, cloud, and digital transformation capabilities
Strong client relationships and high customer retention
Global delivery model and execution excellence
Brand reputation and trust
Innovation and R&D investment
Cybersecurity and data privacy capabilities
Strategic technology partnerships (Microsoft, AWS, Google Cloud, SAP, Oracle, etc.)
Operational efficiency and scalability
Strong financial position and consistent cash generation

These are the primary factors that differentiate industry leaders like TCS from smaller IT service providers.

INDUSTRY RESEARCH

Done

Item 6

Is there anything that keeps others from entering the industry?

ANSWER

The global IT services industry has moderate to high barriers to entry, particularly for companies seeking to compete with established firms such as TCS.

While small IT service providers can enter niche markets with relatively low initial capital, competing for large enterprise and government contracts requires significant investments in skilled talent, global delivery infrastructure, technology platforms, cybersecurity capabilities, regulatory compliance, and long-term client relationships.

Large enterprises prefer vendors with proven execution records, financial stability, global presence, and recognized certifications, making it difficult for new entrants to gain trust and secure multi-year transformation projects.

In addition, investments in AI capabilities, intellectual property, strategic partnerships with cloud providers, and continuous talent development further strengthen the competitive position of incumbent firms, creating sustainable barriers to entry.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview (global delivery model, AI investments, customer relationships). Pages 83–88 – Management Discussion & Analysis (industry positioning and competitive strengths).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Investor Presentation FY26:

Business model, capabilities, global presence, client diversification, and AI investments.

https://www.tcs.com/investor-relations

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook (talent, digital capabilities, AI, and technology leadership).

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Porter, M. E. – Competitive Strategy:

Barriers to Entry section in the chapter on the Threat of New Entrants (foundational framework for industry analysis).

REMARKS

Although launching a small IT services company requires relatively modest capital, competing with global leaders such as TCS demands decades of experience, extensive client relationships, global delivery capabilities, advanced AI and cloud expertise, regulatory compliance, and continuous investment in talent and innovation.

These factors create durable competitive advantages and limit the threat posed by new entrants.

Weightage:

95 / 100

Reason

Barriers to entry are a core component of Porter's Five Forces. High entry barriers help protect market share, support pricing power, and contribute to long-term profitability, making this one of the most important factors in industry analysis.

Sentiment:

"Positive"

Why Positive?
High entry barriers protect established market leaders like TCS.
Long-term client relationships reduce the threat of new competitors.

Strong brand reputation and execution history create a competitive moat.

Certifications, compliance, and AI investments are difficult and time-consuming to replicate.

INDUSTRY RESEARCH

Item 7

Done

Do the Industry leaders stay same or keep on changing over years?

ANSWER

The industry leaders have remained largely stable over the years.

Global IT services is characterized by a small group of well-established companies—including TCS, Accenture, Infosys, Cognizant, HCLTech, Capgemini, IBM Consulting, Deloitte, Wipro, and Fujitsu—that have consistently maintained leadership positions through continuous innovation, strong client relationships, global delivery capabilities, and large-scale investments in emerging technologies.

While their relative rankings may change based on revenue growth, deal wins, acquisitions, or technological advancements, entirely new entrants rarely replace the leading firms.

The industry's high barriers to entry, long-term enterprise contracts, global brand recognition, and significant investments in talent, AI, cloud computing, cybersecurity, and digital transformation have enabled incumbents to sustain their market leadership for many years.

SENTIMENT	WEIGHTAGE
Positive	85

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 83–88 – Management Discussion & Analysis (industry landscape and competitive positioning); Pages 18–27 – Strategy and Business Overview.

(https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf)

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – discusses the structure of India's technology industry and leading global players.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Gartner – Magic Quadrant for Custom Software Development & IT Services:

Evaluates the consistency and leadership of major IT service providers.

https://www.gartner.com

IDC Worldwide Services Market Reports:

Global market share and competitive positioning of leading IT services firms.

https://www.idc.com

REMARKS

General Remarks:

The global IT services industry exhibits stable leadership, with the same group of large multinational firms maintaining dominant positions for decades.

Although technological shifts such as AI and cloud computing influence competitive dynamics, established companies continue to adapt through sustained investments in innovation, acquisitions, and workforce development.

This stability indicates strong competitive moats and reinforces the long-term attractiveness of the industry.

Sentiment:

"Positive"

Why Positive?
Market leadership is stable rather than frequently disrupted.
Strong incumbents enjoy durable competitive advantages.

Long-term client relationships create high switching costs.
Leadership stability indicates a mature and resilient industry.

Weightage:

"85 / 100"

Reason:

Leadership stability reflects the industry's competitive structure and the durability of competitive advantages.

While important for assessing long-term industry attractiveness, it is slightly less critical than market size, industry growth, and barriers to entry.

INDUSTRY RESEARCH

Item 8

Done

Are most companies in the industry, doing well or struggling?

ANSWER

Most companies in the industry are performing well, although growth rates vary depending on their service offerings and geographic exposure.

The global IT services industry continues to benefit from sustained enterprise spending on digital transformation, cloud migration, cybersecurity, artificial intelligence (AI), data analytics, and engineering services.

Leading companies such as TCS, Accenture, Infosys, HCLTech, Cognizant, Capgemini, and Deloitte continue to report healthy profitability, strong cash flows, and robust deal pipelines.

However, the industry has experienced slower revenue growth due to macroeconomic uncertainty, cautious discretionary IT spending, and delayed decision-making by clients.

Companies with strong AI capabilities, diversified customer bases, and higher exposure to digital transformation services are outperforming peers, while firms relying heavily on traditional outsourcing services face greater pricing pressure.

Overall, the industry's financial health remains strong, supported by recurring client demand, resilient margins, and continued investments in emerging technologies.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 83–88 – Management Discussion & Analysis (industry outlook, demand trends, client spending).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – industry growth, AI adoption, digital transformation, and technology spending.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Accenture FY2025 Annual Report:

MD&A – enterprise technology spending, AI demand, profitability, and industry outlook.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

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Infosys Annual Report FY2025–26:

Management Discussion & Analysis – demand environment, digital transformation, and client spending trends.

https://www.infosys.com/investors/reports-filings/annual-report.html

REMARKS

The industry remains fundamentally healthy despite slower revenue growth compared with the post-pandemic period.

Companies that have invested in AI, cloud computing, cybersecurity, and digital engineering continue to outperform.

While discretionary spending remains cautious, enterprise demand for technology modernization supports long-term growth and profitability across leading industry participants.

Why Positive?

Most leading IT services firms remain profitable.

AI and cloud services continue to drive demand.

Large deal pipelines remain healthy.

Strong balance sheets and cash generation across major players.

Short-term growth has slowed, but the industry is not in distress.

Weightage Reason:

The financial health of industry participants indicates whether the industry is structurally attractive.

If most companies consistently generate healthy profits and cash flows, it reflects strong long-term industry fundamentals.

INDUSTRY RESEARCH

Item 9

Done

Do they hold too much bargaining power over the companies in the Industry?

ANSWER

Yes, customers possess moderate to high bargaining power over companies in the IT services industry.

Large enterprises typically procure IT services through competitive bidding processes and have access to multiple global service providers, enabling them to negotiate pricing, contract terms, and service-level agreements.

Cost optimization initiatives, vendor consolidation, and periodic contract renewals further strengthen customers' negotiating position.

However, the bargaining power of customers is moderated by high switching costs associated with mission-critical systems, long-term outsourcing agreements, domain expertise, and the complexity of digital transformation projects.

Companies that provide differentiated services in artificial intelligence (AI), cloud computing, cybersecurity, engineering, and consulting are better positioned to reduce pricing pressure by delivering higher-value solutions.

Overall, while customers exert significant influence over pricing and contract structures, leading IT service providers continue to retain strong client relationships through innovation, execution excellence, and specialized capabilities.

SENTIMENT	WEIGHTAGE
Neutral	90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 83–88 – Management Discussion & Analysis (client demand, competitive environment, customer relationships).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Accenture FY2025 Annual Report:

MD&A – Enterprise spending, client demand, competitive pricing, and consulting market dynamics.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

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NASSCOM Strategic Review 2026:

Executive Summary – Technology spending trends, enterprise demand, and digital transformation.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Michael E. Porter – Competitive Strategy

Chapter: The Bargaining Power of Buyers (Porter's Five Forces).

REMARKS

Customer bargaining power is moderate to high due to the presence of multiple global IT service providers and the procurement practices of large enterprises.

However, long-term client relationships, high switching costs, domain expertise, and differentiated AI- and cloud-based services help leading firms such as TCS mitigate pricing pressure and maintain customer loyalty.

INDUSTRY RESEARCH

Item 10

Done

Customers

ANSWER

The customers of the global IT services industry primarily consist of large enterprises, multinational corporations, government organizations, and public sector institutions across industries such as banking and financial services (BFSI), healthcare, retail, manufacturing, telecommunications, energy and utilities, life sciences, travel, media, and technology.

These organizations increasingly rely on IT service providers to support digital transformation, cloud migration, artificial intelligence (AI), cybersecurity, data analytics, enterprise applications, and business process outsourcing.

The customer base is highly diversified across industries and geographies, reducing dependence on any single sector or client. Demand is driven by the continuous need for technology modernization, operational efficiency, regulatory compliance, and innovation.

Although enterprise customers are cost-conscious and exercise significant bargaining power during contract negotiations, long-term partnerships, mission-critical projects, and high switching costs contribute to stable and recurring revenue for leading IT service providers.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 10–17 – Markets and Industries (industry verticals and customer segments);

Pages 83–88 – Management Discussion & Analysis (client demand and market outlook).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Presentation FY26:

Customer segmentation, geographic revenue mix, and industry verticals.

https://www.tcs.com/investor-relations

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – enterprise technology spending across sectors.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Accenture Annual Report FY2025:

Industry Groups and Client Markets – diversified enterprise customer base.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

REMARKS

The IT services industry serves a broad and diversified customer base across multiple industries and geographic regions.

Continuous digital transformation, AI adoption, cloud migration, and cybersecurity requirements ensure sustained demand for technology services. Long-term client relationships and recurring contracts provide revenue stability despite periodic fluctuations in enterprise IT spending.

Weightage Reason

The quality and diversification of the customer base directly influence revenue stability, growth opportunities, and business resilience. However, it is slightly less important than industry structure, market size, and barriers to entry.

Why Positive?
Diversified customer base across industries and countries.

Strong recurring demand for technology services.

Long-term contracts improve revenue visibility.

No excessive dependence on a single industry or customer.

INDUSTRY RESEARCH

Item 11

Done

Suppliers

ANSWER

The primary suppliers in the global IT services industry include skilled technology professionals, cloud infrastructure providers (such as Microsoft Azure, Amazon Web Services, and Google Cloud), software vendors (including SAP, Oracle, Salesforce, and ServiceNow), hardware manufacturers, telecommunications providers, and specialized technology partners.

Among these, skilled talent is the most critical input, making human capital the industry's most important supplier. The bargaining power of suppliers is moderate. Although competition for experienced professionals in emerging technologies such as artificial intelligence (AI), cloud computing, cybersecurity, and data engineering can increase employee costs, leading IT service providers mitigate this through large-scale recruitment, continuous upskilling, global talent sourcing, automation, and offshore delivery models.

Similarly, while cloud platforms and enterprise software vendors have strong market positions, the availability of multiple technology partners and multi-cloud strategies reduces supplier dependency.

Overall, supplier power remains manageable and does not significantly constrain the profitability or competitiveness of leading IT services companies.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 28–41 – Talent, workforce development, learning, and strategic partnerships; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – talent availability, digital skills, AI adoption, and cloud ecosystem.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Accenture Annual Report FY2025:

MD&A – workforce strategy, technology ecosystem, cloud partnerships, and talent management.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

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Microsoft, AWS, and Google Cloud Partner Programs:

Documentation describing enterprise partnerships and multi-cloud ecosystems.

REMARKS

Human capital is the most important supplier to the IT services industry.

While demand for skilled professionals in AI, cloud, and cybersecurity has increased wage pressures, leading firms effectively manage these challenges through workforce development, automation, and diversified technology partnerships.

The presence of multiple cloud and software vendors further limits supplier concentration, resulting in moderate supplier bargaining power.

Weightage Reason:

Supplier bargaining power influences operating costs, employee expenses, and service delivery capabilities.

However, its impact on long-term competitiveness is generally lower than customer bargaining power, market size, and barriers to entry.

Why Positive?

No single supplier dominates the industry's supply chain.
Multiple cloud providers and software vendors reduce dependency.

Large IT companies have strong negotiating power because of their scale.

Talent shortages exist but are managed through global hiring and upskilling.

INDUSTRY RESEARCH

Done

Item 12

Competitors

ANSWER

The global IT services industry is highly competitive, with competition arising from global consulting firms, IT service providers, cloud-native companies, engineering service firms, and niche digital transformation specialists.

The market is led by established companies such as Accenture, Tata Consultancy Services (TCS), Infosys, Cognizant, HCLTech, Capgemini, Wipro, IBM Consulting, Deloitte, DXC Technology, NTT DATA, and Fujitsu. Competition is based on service quality, technological expertise, innovation, execution capability, pricing, domain knowledge, client relationships, and global delivery capacity rather than price alone.

The rapid adoption of artificial intelligence (AI), cloud computing, cybersecurity, and digital engineering has intensified competition, requiring companies to continuously invest in innovation and workforce development.

Despite the high level of competition, the industry's large market size, long-term client relationships, high switching costs, and strong entry barriers enable leading firms to sustain their competitive positions and profitability over time.

SENTIMENT

Neutral

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 83–88 – Management Discussion & Analysis (competitive landscape, industry trends); Pages 18–27 – Strategy and Business Overview.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – global technology market, industry structure, and competitive trends.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Gartner Magic Quadrant for Custom Software Development & IT Services:

Evaluation of leading global IT service providers based on execution and vision.

https://www.gartner.com

IDC Worldwide Services Market Shares:

Global market share rankings and competitive analysis of IT service providers.

https://www.idc.com

REMARKS

The IT services industry is characterized by intense but rational competition among well-established global players.

Success depends on technological innovation, AI capabilities, customer relationships, execution excellence, and industry expertise rather than aggressive price competition alone.

The industry's high entry barriers and recurring enterprise demand allow leading firms to coexist and maintain sustainable profitability despite strong competition.

Weightage Reason:

Competitive intensity directly affects market share, pricing power, profitability, and long-term growth. It is one of the key elements of Porter's Five Forces and is therefore highly significant in industry analysis.

Why Neutral?
Positive: Large and growing market allows multiple players to succeed.

Negative: Competition is intense, creating pricing pressure and continuous innovation requirements.

Since both factors balance each other, the overall sentiment is neutral.

INDUSTRY RESEARCH

Item 13

Done

What are the Major Risks?

ANSWER

The global IT services industry faces several structural and cyclical risks that could affect long-term growth and profitability.

Key risks include global economic slowdowns, which may lead enterprises to delay or reduce discretionary IT spending; rapid technological disruption, requiring continuous investment in emerging technologies such as artificial intelligence (AI), cloud computing, and cybersecurity; and intense competition, which can pressure pricing and operating margins.

The industry is also exposed to talent shortages, wage inflation, and the need for continuous workforce reskilling as technology evolves.

In addition, cybersecurity threats, data privacy regulations, and compliance requirements increase operational complexity and risk.

Other important risks include geopolitical tensions, changes in immigration and visa policies, currency exchange rate fluctuations, client concentration in key sectors such as BFSI, and the possibility that automation and AI may reduce demand for traditional labor-intensive outsourcing services.

Companies that continuously innovate, diversify their customer base, strengthen cybersecurity, and invest in workforce development are better positioned to mitigate these risks.

SENTIMENT

Negative

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26

Pages 89–104 – Enterprise Risk Management and Principal Risks; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – discusses industry challenges, AI disruption, talent, and macroeconomic environment.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Accenture Annual Report FY2025:

Risk Factors and MD&A – technology disruption, cybersecurity, talent, and client demand risks.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

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Infosys Annual Report FY2025–26:

Risk Management and Management Discussion & Analysis – industry-wide operational, regulatory, cybersecurity, and talent risks.

https://www.infosys.com/investors/reports-filings/annual-report.html

REMARKS

Although the IT services industry benefits from strong long-term demand driven by digital transformation and AI adoption, it remains exposed to economic cycles, rapid technological change, cybersecurity threats, regulatory developments, and talent-related challenges.

Industry leaders mitigate these risks through continuous innovation, diversified customer portfolios, strong financial positions, global delivery models, and ongoing investments in AI, cloud technologies, cybersecurity, and employee upskilling.

Weightage Reason:

Industry risks have a direct impact on long-term earnings, valuation, competitive positioning, and business sustainability. Understanding these risks is essential for assessing the resilience and investment attractiveness of the industry.

Why Negative?
Risks can directly affect revenue growth and profitability.

Macroeconomic uncertainty may reduce enterprise IT spending.

AI disruption creates both opportunities and threats.

Cybersecurity and regulatory risks are increasing.

Wage inflation and talent shortages can pressure margins.

INDUSTRY RESEARCH

Item 14

Done

Is it regulated? Strict or Linient?

ANSWER

The global IT services industry operates within a moderately regulated environment rather than a strictly regulated one.

Companies are required to comply with a wide range of laws and standards related to data privacy, cybersecurity, intellectual property, anti-corruption, taxation, labor and employment, environmental, social, and governance (ESG) reporting, and industry-specific regulations.

Global IT service providers serving sectors such as banking, healthcare, insurance, and government must also adhere to sector-specific compliance frameworks, including GDPR, HIPAA, PCI-DSS, SOC, ISO 27001, and regional data localization requirements.

While these regulations increase operational complexity and compliance costs, they also strengthen customer trust, improve information security, and create higher barriers to entry for new competitors.

As digital transformation, artificial intelligence, and cross-border data flows continue to expand, regulatory oversight is expected to increase gradually, but it is unlikely to become as stringent as in highly regulated industries such as banking or pharmaceuticals.

SENTIMENT

Neutral

WEIGHTAGE

75

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 89–104 – Enterprise Risk Management and Regulatory Compliance; Corporate Governance section.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – discusses AI governance, cybersecurity, digital trust, and regulatory trends.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

European Union – General Data Protection Regulation (GDPR)

Official regulation governing personal data protection.

https://gdpr.eu/

ISO/IEC 27001 Information Security Standard

International standard for information security management systems.

https://www.iso.org/isoiec-27001-information-security.html

REMARKS

The IT services industry is moderately regulated, with compliance requirements varying by geography, customer industry, and service offerings.

Data privacy, cybersecurity, AI governance, and cross-border data regulations have become increasingly important.

Although regulatory requirements raise compliance costs, they also enhance customer confidence and create competitive advantages for established firms with mature governance and security capabilities.

Weightage Reason:

The regulatory environment affects compliance costs, operational risk, and market entry. However, it generally has a lower impact on long-term industry attractiveness than factors such as market size, competition, pricing power, or barriers to entry.

Why Neutral?
Positive: Regulations improve customer trust, cybersecurity, and data protection while increasing barriers to entry.

Negative: Compliance increases operational costs, reporting requirements, and legal complexity.

Overall, regulation is neither a significant advantage nor a major disadvantage for the industry.

BUSINESS MODEL

Item 1

Done

What products/ services does the company sell?

ANSWER

Tata Consultancy Services (TCS) is a global IT services, consulting, and business solutions company that provides end-to-end technology solutions to enterprises across multiple industries.

Its core offerings include IT consulting, application development and maintenance, cloud transformation, artificial intelligence (AI) and data analytics, cybersecurity, digital engineering, enterprise application services (SAP, Oracle, Salesforce), business process services (BPS), infrastructure and platform services, Internet of Things (IoT), automation, quality engineering, and managed services.

TCS also develops and licenses proprietary software products and platforms such as TCS BaNCS (banking and financial services), TCS ADD (insurance), TCS BFSI Platforms, TCS iON (education and assessment), ignio™ (AIOps and enterprise automation), and industry-specific digital solutions.

Revenue is primarily generated through long-term service contracts, project-based engagements, managed services, consulting assignments, cloud transformation programs, and software licensing and support services.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 10–27 – Business Overview, Markets & Industries, Service Offerings, Strategy

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Presentation FY26:

Business segments, digital capabilities, and service portfolio

https://www.tcs.com/investor-relations

TCS Services:

Official overview of consulting, cloud, AI, cybersecurity, engineering, enterprise solutions, and business process services

https://www.tcs.com/what-we-do

TCS Products & Platforms

Official information on TCS BaNCS, TCS ADD, TCS iON, ignio™, and other platforms

https://www.tcs.com/products-platforms

REMARKS

TCS operates a diversified business model with a balanced mix of consulting, technology services, digital transformation, cloud, AI, cybersecurity, engineering services, business process services, and proprietary software platforms.

This broad portfolio reduces dependence on any single service line, supports recurring revenue through long-term client relationships, and positions the company to benefit from structural trends such as AI adoption, cloud migration, and enterprise digital transformation.

Why Positive?

Diversified portfolio across consulting, IT services, cloud, AI, cybersecurity, and software products.

Multiple recurring revenue streams.

Strong presence across industries and geographies.

Increasing share of high-value digital and AI-led services.

Weightage Reason"

Understanding a company's products and services is fundamental to evaluating its business model, revenue drivers, scalability, competitive advantages, and long-term growth potential.

BUSINESS MODEL

Item 2

Done

How do they make their money? (Subscriptions/ ads/ selling products etc.)

ANSWER

TCS primarily generates revenue by providing IT services, consulting, and business solutions to enterprises worldwide through long-term contracts, project-based engagements, and managed services.

The company earns income by designing, developing, implementing, modernizing, and maintaining technology systems for clients across industries such as banking, healthcare, retail, manufacturing, telecommunications, and government.

Revenue is generated through time-and-material contracts, where clients are billed based on the resources and time utilized, and fixed-price contracts, where projects are delivered for a predetermined fee.

TCS also earns recurring revenue from managed services, application maintenance, cloud infrastructure management, business process services (BPS), and software support.

In addition, the company generates revenue through the licensing, implementation, customization, and maintenance of proprietary software platforms such as TCS BaNCS, TCS ADD, TCS iON, and ignio™.

Unlike subscription-based SaaS companies, TCS derives most of its revenue from long-term enterprise service contracts, which provide predictable and recurring cash flows.

SENTIMENT

WEIGHTAGE

Positive	95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 10–27 – Business Overview, Service Portfolio, Markets & Industries; Financial Statements and Notes – Revenue Recognition.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY26 Investor Presentation:

Revenue mix, business segments, service lines, and digital capabilities.

https://www.tcs.com/investor-relations

TCS – What We Do:

Overview of consulting, cloud, AI, cybersecurity, engineering, BPS, and managed services.

https://www.tcs.com/what-we-do

TCS Products & Platforms:

Information on TCS BaNCS, TCS ADD, TCS iON, ignio™, and other proprietary platforms.

https://www.tcs.com/products-platforms

REMARKS

TCS follows a diversified and resilient revenue model, with the majority of income generated from long-term enterprise IT services, consulting, and managed services contracts.

Recurring revenue from application maintenance, cloud operations, business process services, and software support enhances earnings visibility, while proprietary platforms and AI-led digital transformation services provide additional growth opportunities and support margin expansion.

Weightage Reason:

A company's revenue model determines the quality, predictability, scalability, and sustainability of its earnings.

Understanding how a company generates revenue is fundamental to evaluating its business model and long-term investment potential.

Why Positive?
Long-term enterprise contracts provide recurring and predictable revenue.

Diversified revenue streams reduce dependence on any single service or customer.

High client retention and multi-year contracts improve revenue visibility.

Increasing contribution from AI, cloud, and platform-based services supports long-term growth.

BUSINESS MODEL

Item 3

Done

Is the product/ service Unique? Can it stay that way?

ANSWER

TCS's services are differentiated rather than entirely unique.

Core IT services such as consulting, application development, cloud migration, cybersecurity, and digital transformation are offered by several global competitors, including Accenture, Infosys, HCLTech, Cognizant, and Capgemini.

However, TCS differentiates itself through its scale, global delivery model, deep industry expertise, long-standing client relationships, strong brand reputation, proprietary platforms (such as TCS BaNCS, TCS ADD, TCS iON, and ignio™), extensive intellectual property, and continuous investments in artificial intelligence (AI), cloud, and automation.

Its ability to execute large, complex, multi-year transformation programs across industries and geographies further strengthens its competitive position.

While technology and service offerings continue to evolve rapidly, TCS is well positioned to sustain its differentiation through continuous innovation, workforce upskilling, strategic technology partnerships, and sustained investment in digital capabilities.

Therefore, although the underlying services are not exclusive, the company's execution capabilities, customer trust, and integrated service portfolio provide a durable competitive advantage that is likely to remain sustainable over the long term.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy and Business Overview; Pages 28–41 – Innovation, Talent, AI, and Technology Capabilities.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Presentation FY26:

Competitive strengths, AI strategy, proprietary platforms, and digital capabilities.

https://www.tcs.com/investor-relations

TCS – Products & Platforms:

Information on TCS BaNCS, TCS ADD, TCS iON, ignio™, and industry-specific platforms.

https://www.tcs.com/products-platforms

TCS – What We Do

Service portfolio, consulting capabilities, cloud, AI, cybersecurity, engineering, and business transformation services.

https://www.tcs.com/what-we-do

REMARKS

TCS does not offer completely unique services, but it has built a sustainable competitive advantage through its global scale, execution excellence, proprietary platforms, diversified client base, deep domain expertise, and continuous innovation.

These strengths make its business model difficult for competitors to replicate and support long-term customer retention and revenue growth.

Weightage Reason:

The uniqueness and sustainability of a company's products or services determine its competitive advantage, pricing power, customer retention, and long-term earnings potential.

This is a critical factor in assessing whether the company possesses a durable economic moat.

Why Positive?

Strong competitive differentiation despite operating in a competitive industry.

Long-term customer relationships and high switching costs create a durable moat.

Continuous investment in AI, cloud, and digital technologies supports future relevance.

Proprietary platforms and global delivery capabilities are difficult to replicate.

BUSINESS MODEL

Item 4

Done

Will the product/ service stay relevant 10 years from today according to you?

ANSWER

Yes, TCS's products and services are expected to remain highly relevant over the next decade, although the composition of its revenue is likely to evolve.

The long-term demand for enterprise technology services will continue to be driven by digital transformation, cloud computing, artificial intelligence (AI), cybersecurity, data analytics, automation, engineering services, and application modernization.

While traditional application maintenance and labor-intensive outsourcing may experience slower growth due to automation and AI, demand for higher-value consulting, AI-led transformation, platform engineering, cloud-native development, cybersecurity, and managed services is expected to increase significantly.

TCS has consistently invested in emerging technologies, proprietary platforms, workforce upskilling, and strategic partnerships with major technology providers, enabling it to adapt to changing customer requirements.

Given its diversified service portfolio, strong client relationships, global delivery model, and continuous innovation, the company is well positioned to remain relevant and competitive over the next 10 years.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy and Business Overview; Pages 28–41 – AI, Innovation, Talent, and Technology Capabilities; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Results:

Management commentary on AI-led transformation, enterprise demand, and future growth drivers.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – long-term growth drivers including AI, cloud, cybersecurity, engineering R&D, and digital transformation.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Gartner Top Strategic Technology Trends:

Long-term enterprise technology adoption trends supporting demand for IT services.

https://www.gartner.com/en/articles/top-strategic-technology-trends

REMARKS

TCS's long-term relevance depends on its ability to continuously evolve with technology trends rather than relying on traditional IT outsourcing.

The company's investments in AI, cloud computing, cybersecurity, digital engineering, proprietary platforms, and workforce development position it well to capitalize on future technology shifts.

While the mix of services will evolve, enterprise demand for technology transformation is expected to remain strong, supporting the sustainability of TCS's business model.

Weightage Reason:

The long-term relevance of a company's products and services is a key determinant of sustainable growth, competitive advantage, and long-term shareholder value.

Businesses that can remain relevant despite technological disruption are more likely to generate consistent earnings over time.

Why Positive?

Enterprise technology spending is expected to continue growing.
AI is creating new service opportunities rather than eliminating demand.

TCS continuously adapts its offerings through innovation and upskilling.

Diversified services reduce dependence on any single technology.

BUSINESS MODEL

Item 5

Done

What are the substitutes? Why are they better? Are customers switching?

ANSWER

The primary substitutes for traditional IT services are Software-as-a-Service (SaaS) platforms, low-code/no-code development platforms, AI-powered automation tools, hyperscaler-native cloud services, Global Capability Centers (GCCs), and in-house IT teams.

These alternatives can reduce the need for conventional application development and maintenance by offering faster deployment, lower costs, greater automation, and improved user experience.

In particular, Generative AI and low-code platforms are enabling organizations to automate routine software development and operational tasks, while many large enterprises are expanding their own Global Capability Centers (GCCs) to perform technology work internally.

However, these substitutes cannot fully replace the need for large-scale consulting, enterprise architecture, complex system integration, cybersecurity, cloud transformation, and end-to-end digital transformation services.

Rather than abandoning IT service providers, most enterprises are shifting their spending toward AI-led transformation, cloud modernization, managed services, and strategic consulting.

Companies such as TCS have adapted to this transition by expanding their AI, cloud, engineering, and platform capabilities, enabling them to remain relevant despite changing customer preferences.

SENTIMENT

Neutral

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 83–88 – Management Discussion & Analysis (AI, cloud, digital transformation, technology trends).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Results:

Management commentary on AI-led transformation, GenAI adoption, and evolving client demand.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – AI, cloud, GCC growth, automation, and digital transformation trends.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Gartner – Top Strategic Technology Trends:

Enterprise adoption of AI, low-code platforms, automation, and cloud technologies.

https://www.gartner.com/en/articles/top-strategic-technology-trends

REMARKS

Remarks
The IT services industry is undergoing structural change rather than disruption.

AI, SaaS, low-code platforms, and GCCs are replacing some traditional services while creating new demand for AI integration, cloud transformation, cybersecurity, and consulting.

Leading companies such as TCS are repositioning their service portfolios to capture these emerging opportunities, thereby mitigating the long-term threat from substitutes.

Weightage Reason:

The threat of substitutes is one of Porter's Five Forces and directly influences long-term revenue growth, pricing power, and business sustainability.

Companies that successfully adapt to substitutes can preserve their competitive advantage.

Why Neutral?
Positive: TCS is successfully adapting to AI, cloud, and platform-led transformation, reducing the long-term threat from substitutes.

Negative: SaaS, AI automation, GCCs, and low-code platforms are reducing demand for some traditional IT outsourcing services.

Overall, substitutes are changing the nature of demand rather than replacing the industry, making the overall impact neutral.

BUSINESS MODEL

Item 6

Done

Is the company growing its market share?

ANSWER

Yes, TCS has largely maintained and gradually expanded its market position in the global IT services industry, although market share gains have been incremental rather than dramatic.

As one of the world's largest IT services companies, TCS continues to strengthen its position through consistent large deal wins, high client retention, expanding AI-led transformation engagements, and investments in cloud, cybersecurity, engineering services, and digital transformation.

The company has increased the number of large clients generating over US$100 million in annual revenue and continues to build a strong order book through multi-year enterprise contracts.

While intense competition from Accenture, Infosys, Cognizant, HCLTech, Capgemini, Deloitte, and Global Capability Centers (GCCs) limits rapid market share expansion, TCS has successfully defended its leadership position and continues to capture a growing share of higher-value digital and AI-related spending.

Overall, the company is maintaining a stable leadership position while gradually increasing its share in strategic growth segments.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 83–88 – Management Discussion & Analysis; Financial Highlights – Large client metrics and deal wins.
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Q1 FY27 Results:

CEO commentary on large deal wins, AI-led transformation, client growth, and order book.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

TCS Investor Presentation FY26:

Client metrics, large deal pipeline, business segments, and growth initiatives.

https://www.tcs.com/investor-relations

Gartner Magic Quadrant / IDC Worldwide Services Market Shares:

Industry leadership, competitive positioning, and market share analysis of global IT service providers.

https://www.gartner.com / https://www.idc.com

REMARKS

TCS continues to strengthen its competitive position through steady client additions, expansion of existing customer relationships, and growing demand for AI, cloud, and digital transformation services.

Rather than pursuing aggressive market share gains through price competition, the company focuses on increasing wallet share within existing clients and capturing higher-value technology opportunities.

This strategy supports sustainable long-term growth while preserving profitability.

Weightage Reason:

Market share growth reflects a company's competitive strength, customer acceptance, execution capability, and ability to outperform peers. Sustained market share gains are a strong indicator of long-term business quality and future earnings potential.

Why Positive?

Consistently wins large transformation deals.
Increasing AI and cloud-related engagements.

High client retention and expanding large-account relationships.
Maintains leadership despite intense competition.

BUSINESS MODEL

Done

Item 7

What are the major costs associated with selling the product?

ANSWER

As a global IT services company, TCS's largest cost is employee expenses, reflecting the knowledge-intensive nature of its business.

Employee salaries, benefits, training, recruitment, and workforce upskilling constitute the majority of operating costs.

Other significant costs include subcontracting expenses, cloud infrastructure and software licensing fees, technology and digital platform investments, sales and marketing, travel and client engagement, delivery center operations, office infrastructure, depreciation and amortization, cybersecurity and regulatory compliance, and research and development (R&D).

As TCS expands its AI, cloud, and digital transformation capabilities, investments in technology platforms, innovation, and employee reskilling are becoming increasingly important.

Since the business is asset-light, capital expenditure remains relatively low compared to manufacturing industries, allowing the company to maintain healthy operating margins and strong cash generation.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Integrated Annual Report FY2025–26

Financial Statements – Statement of Profit & Loss and Notes to Accounts (employee benefit expenses, subcontracting costs, depreciation, operating expenses); Pages 28–41 – Talent and Workforce; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY26 Investor Presentation

Margin drivers, operational efficiency, workforce, and productivity initiatives.

https://www.tcs.com/investor-relations

TCS Q1 FY27 Results:

Management commentary on wage costs, hiring, utilization, AI investments, and operating margins.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

REMARKS

TCS's cost structure is primarily driven by human capital, making talent management and productivity the key determinants of profitability.

Continued investment in AI, automation, and workforce upskilling helps improve operational efficiency and offsets wage inflation over time.

The company's asset-light business model enables strong cash flow generation and sustainable margins.

Weightage Reason:

Understanding the cost structure helps assess operating margins, scalability, and earnings resilience.

Although important, it is slightly less critical than revenue model, competitive advantage, or market opportunity.

Why Positive?

Asset-light business model with limited capital expenditure.
Strong operating leverage as revenue grows.

Employee costs are high but manageable and directly create value.

High cash generation supports profitability despite ongoing investments.

BUSINESS MODEL

Item 8

Done

Are the costs fixed or variable?

ANSWER

TCS has a predominantly variable cost structure with some fixed costs.

The company's largest expense is employee compensation, which varies with workforce size, utilization, hiring, wage revisions, and project demand.

Subcontracting costs, cloud infrastructure expenses, software licensing, travel, and project delivery costs also fluctuate based on business volumes, making them largely variable.

Fixed costs include office leases, delivery centers, IT infrastructure, depreciation, corporate overheads, and administrative expenses.

As an asset-light IT services company, TCS has relatively low fixed capital requirements compared with manufacturing businesses.

This cost structure provides operational flexibility, allowing the company to scale resources in response to demand while maintaining healthy profitability.

Additionally, investments in automation, artificial intelligence, and productivity improvements help reduce the cost of delivering services over time and improve operating leverage.

SENTIMENT	WEIGHTAGE
Positive	85

SOURCES

TCS Integrated Annual Report FY2025–26:

Statement of Profit and Loss & Notes to Accounts (Employee Benefit Expense, Subcontracting Charges, Other Operating Expenses); Pages 28–41 – Talent and Workforce; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY26 Investor Presentation:

Margin drivers, productivity, workforce utilization, and operational efficiency.

https://www.tcs.com/investor-relations

TCS Q1 FY27 Results:

Management commentary on utilization, wage revisions, AI-led productivity, and operating margins.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

REMARKS

TCS's predominantly variable cost structure is a competitive advantage because it enables the company to adjust workforce capacity and delivery costs in line with client demand.

The asset-light business model, combined with investments in automation and AI, enhances scalability, supports stable operating margins, and improves long-term profitability.

Why Positive?
Predominantly variable costs provide flexibility during changes in demand.

Asset-light business model requires relatively low fixed capital investment.

Strong operating leverage enables margins to improve as revenue grows.

AI and automation help improve productivity and reduce delivery costs over time.

Weightage Reason:

The cost structure determines a company's operating leverage, resilience during economic downturns, and ability to scale profitably. While important for understanding margins and earnings quality, it is slightly less significant than revenue model, competitive advantage, and market opportunity.

BUSINESS MODEL

Item 9

Done

What unique assets does the company have that competitors don't?

ANSWER

TCS possesses several strategic assets that collectively create a durable competitive advantage, even though no single asset is entirely unique.

These include one of the world's largest and most skilled technology workforces, a globally integrated delivery model spanning multiple countries, long-standing relationships with many of the world's largest enterprises, and a highly diversified client base across industries and geographies.

TCS also owns proprietary software platforms such as TCS BaNCS, TCS ADD, TCS iON, and ignio™, along with extensive intellectual property, delivery methodologies, and domain expertise developed over several decades.

Its affiliation with the Tata Group enhances its brand reputation, financial credibility, governance standards, and customer trust.

Continuous investments in artificial intelligence, cloud computing, cybersecurity, research and innovation, together with strategic partnerships with Microsoft, AWS, Google Cloud, SAP, Oracle, and Salesforce, further strengthen its competitive position.

These assets create high switching costs, support long-term customer relationships, and make it difficult for competitors to replicate TCS's scale, execution capabilities, and global reach.

SENTIMENT	WEIGHTAGE
Positive	95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 28–41 – Innovation, Talent, AI, and Technology; Pages 10–17 – Markets & Industries.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Products & Platforms

TCS BaNCS, TCS ADD, TCS iON, ignio™, and other proprietary platforms.

https://www.tcs.com/products-platforms

TCS Investor Presentation FY26

Competitive strengths, client metrics, global delivery model, and strategic partnerships.

https://www.tcs.com/investor-relations

TCS – Innovation & Research:

Research initiatives, AI investments, intellectual property, and innovation ecosystems.

https://www.tcs.com/what-we-do/research

REMARKS

TCS's competitive advantage is based on the combination of its brand, global delivery model, proprietary platforms, technology partnerships, highly skilled workforce, diversified client portfolio, and long-standing customer relationships.

While competitors possess similar capabilities individually, few can match TCS's breadth, scale, execution consistency, and reputation simultaneously.

These strategic assets support sustainable growth and reinforce the company's long-term competitive position.

Weightage Reason:

Unique assets determine whether a company has a sustainable competitive advantage (economic moat).

They directly influence pricing power, customer retention, profitability, and long-term value creation, making this one of the most important aspects of business model analysis.

Why Positive?

Strong economic moat through brand, scale, client relationships, and execution.

Proprietary platforms and intellectual property differentiate TCS.

Tata Group backing enhances credibility and trust.

High switching costs and global delivery capabilities support long-term competitiveness.

KNOWING THE COMPANY

Item 1

Done

What is the rank of Company in the Industry? (In competitive sense)

ANSWER

Tata Consultancy Services (TCS) is one of the top global IT services and consulting companies and remains the market leader among Indian IT services firms by revenue, market capitalization, profitability, and brand value.

Globally, TCS competes with companies such as Accenture, Deloitte, IBM Consulting, Capgemini, Cognizant, Infosys, and HCLTech.

While Accenture is generally the largest global IT services company by revenue, TCS consistently ranks among the top two or three global IT services providers and is widely recognized for its execution excellence, customer satisfaction, operational efficiency, and long-term financial performance.

Within India, TCS has maintained its leadership position for over two decades and continues to lead the industry in revenue, net profit, market capitalization, and large enterprise relationships. Its global delivery model, diversified client base, strong balance sheet, and consistent innovation have enabled it to sustain a leading competitive position despite intense industry competition.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 6–17 – Company Overview, Financial Highlights, Markets & Industries.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Brand Finance – IT Services 2026 Rankings:

Global IT services brand rankings (TCS among the world's most valuable IT services brands).

https://brandfinance.com/insights

Forbes Global 2000 / Fortune Rankings:

Global ranking by revenue, profits, and market value.

https://www.forbes.com/global2000/

TCS Investor Relations

Company profile, financial performance, and industry leadership.

https://www.tcs.com/investor-relations

REMARKS

TCS is the clear leader in the Indian IT services industry and one of the world's leading IT services companies.

Its leadership is supported by a diversified global client base, strong financial performance, consistent execution, and continued investments in AI, cloud, cybersecurity, and digital transformation.

The company's sustained leadership over many years demonstrates the strength of its competitive position and business model.

Why Positive?

#1 Indian IT services company by revenue and market capitalization.

Among the top global IT services companies.

Strong brand reputation and consistent industry leadership.
Market leadership indicates a durable competitive advantage.

Weightage Reason

A company's competitive ranking reflects its market leadership, scale, customer trust, execution capability, and ability to sustain long-term growth.

Industry leaders typically benefit from stronger pricing power, higher client retention, better talent attraction, and greater resilience during economic cycles.

KNOWING THE COMPANY

Done

Item 2

How long company has been in existence?

ANSWER

Tata Consultancy Services (TCS) was established in 1968 as a division of Tata Sons and has been in operation for over 58 years (as of 2026).

Over the past five decades, the company has evolved from a domestic software services provider into one of the world's largest IT services, consulting, and business solutions companies.

TCS has successfully navigated multiple technology cycles—including mainframes, client-server computing, enterprise resource planning (ERP), internet technologies, cloud computing, digital transformation, and artificial intelligence (AI)—while consistently adapting its business model to changing customer needs. Its long operating history demonstrates strong execution capabilities, resilience across economic cycles, and an ability to continuously innovate, making it one of the most established and trusted companies in the global IT services industry.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 6–10 – Company Overview, History, and Business Profile.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS – About Us / History

Company history, milestones, and evolution since 1968.

https://www.tcs.com/who-we-are

Tata Group – TCS Profile:

History, establishment, and Tata Group affiliation.

https://www.tata.com/business/tata-consultancy-services

REMARKS

With more than 58 years of operating history, TCS has consistently evolved alongside technological advancements and changing customer requirements.

Its longevity reflects strong management, disciplined execution, continuous innovation, and the ability to remain relevant across multiple generations of technology.

This extensive track record enhances customer confidence and supports the company's long-term competitive position.

Weightage Reason

A long operating history demonstrates resilience, execution capability, and business stability. While longevity alone does not guarantee future success, companies that have successfully adapted to multiple technology cycles generally have stronger governance, customer relationships, and operational maturity.

Why Positive?

More than five decades of operating history.

Successfully adapted through multiple technology shifts.
Strong track record across economic cycles.

Long history enhances customer trust and credibility.

KNOWING THE COMPANY

Done

Item 3

Has it had the same business in the past decade?

ANSWER

Yes, TCS has remained in the same core business over the past decade, although its service portfolio has evolved significantly.

The company has consistently operated as a global provider of IT services, consulting, and business solutions. Its fundamental business model—helping enterprises design, develop, implement, modernize, and manage technology systems—has remained unchanged.

However, the mix of services has shifted from traditional application development and infrastructure management toward higher-value offerings such as cloud computing, artificial intelligence (AI), cybersecurity, data analytics, digital engineering, enterprise platforms, and business transformation.

TCS has continuously adapted to technological advancements and changing customer requirements without altering its core business.

This ability to evolve while maintaining a stable business model demonstrates strategic consistency, operational resilience, and long-term relevance.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 10–27 – Business Overview, Strategy, Markets & Industries, and Service Portfolio.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Integrated Annual Reports (FY2016–FY2026):

Compare the "Business Overview" and "Strategy" sections across years to observe the evolution from traditional IT services to AI-, cloud-, and digital-led offerings while maintaining the same core business.

https://www.tcs.com/investor-relations

TCS – What We Do:

Overview of current consulting, cloud, AI, cybersecurity, engineering, and business services.

https://www.tcs.com/what-we-do

Weightage Reason:

Business continuity with continuous evolution indicates a resilient and adaptable business model.

Companies that maintain their core competencies while responding to technological and market changes are generally better positioned for sustainable long-term growth.

REMARKS

TCS has not fundamentally changed its business over the past decade. Instead, it has expanded its capabilities from traditional IT outsourcing into AI, cloud computing, cybersecurity, digital engineering, and consulting.

This evolution reflects the company's ability to respond to changing technology trends while preserving its core value proposition of delivering enterprise technology solutions.

Weightage Reason:

Business continuity with continuous evolution indicates a resilient and adaptable business model.

Companies that maintain their core competencies while responding to technological and market changes are generally better positioned for sustainable long-term growth.

Why Positive?

Core business has remained stable for decades.

Successfully adapted to technological changes without changing its identity.

Demonstrates strategic consistency and execution capability.

Continuous innovation has strengthened rather than disrupted the business.

KNOWING THE COMPANY

Item 4

Done

Is the core business expected to grow in next decade?

ANSWER

Yes, TCS's core business is expected to grow over the next decade, although the drivers of growth will continue to evolve.

Demand for enterprise technology services is expected to remain strong as organizations worldwide accelerate investments in artificial intelligence (AI), cloud computing, cybersecurity, data analytics, automation, digital engineering, and enterprise modernization.

Businesses will continue to require consulting, system integration, application modernization, managed services, and technology transformation to remain competitive.

While traditional application maintenance and labor-intensive outsourcing may experience slower growth due to automation and AI, these are expected to be more than offset by expanding demand for AI-enabled solutions, cloud-native platforms, cybersecurity, and digital transformation. TCS's diversified client base, global delivery model, proprietary platforms, strong execution capabilities, and continuous investments in innovation position the company to benefit from these long-term structural trends.

Although growth rates may fluctuate with economic conditions, the long-term outlook for its core business remains favorable.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 83–88 – Management Discussion & Analysis (industry outlook and growth strategy).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Results:

CEO commentary on AI-led transformation, enterprise demand, and long-term growth opportunities.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

NASSCOM Strategic Review 2026:

Executive Summary and Industry Outlook – long-term growth outlook for AI, cloud, cybersecurity, engineering R&D, and digital transformation.

https://community.nasscom.in/communities/nasscom-insights/technology-sector-india-strategic-review-2026

Gartner – Top Strategic Technology Trends:

Long-term enterprise technology trends supporting sustained demand for IT services.

https://www.gartner.com/en/articles/top-strategic-technology-trends

REMARKS

TCS's future growth is expected to be driven by structural technology trends rather than traditional IT outsourcing alone.

The company has positioned itself to capitalize on AI-led transformation, cloud adoption, cybersecurity, engineering services, and digital modernization.

While the service mix will continue to evolve, the core business of enabling enterprise technology transformation is expected to remain relevant and expand over the coming decade.

Weightage Reason:

Future growth of the core business is one of the most important factors in determining long-term revenue, earnings, and shareholder value.

A business with strong structural growth drivers is more likely to sustain competitive advantages and deliver consistent financial performance.

Why Positive?
Enterprise technology spending is expected to continue increasing.

AI, cloud, cybersecurity, and digital transformation provide long-term growth drivers.

TCS has consistently adapted to technological changes.
Large global client base and recurring contracts support sustainable growth.

KNOWING THE COMPANY

Item 5

Done

What are the pros and cons of the company in comparison with competitors?

ANSWER

TCS has several competitive strengths that distinguish it from its peers, although it also faces certain challenges.

Its key advantages include strong brand reputation backed by the Tata Group, industry-leading profitability, a highly diversified global client base, one of the world's largest skilled technology workforces, a globally integrated delivery model, strong execution capabilities, high customer retention, robust free cash flow generation, and consistent dividend payouts.

The company also benefits from proprietary platforms such as TCS BaNCS, deep domain expertise across industries, and continuous investments in artificial intelligence (AI), cloud computing, cybersecurity, and digital transformation.

Compared with competitors, TCS has historically demonstrated superior operational discipline, stable margins, and long-term client relationships.

However, the company also faces certain disadvantages. Revenue growth has moderated in recent years due to macroeconomic uncertainty, and its large size makes it more difficult to grow at the pace of smaller competitors.

Competition from Accenture, Infosys, HCLTech, Cognizant, Capgemini, Global Capability Centers (GCCs), and AI-driven automation continues to increase.

In addition, TCS derives a significant portion of its revenue from North America and the Banking, Financial Services, and Insurance (BFSI) sector, making it somewhat sensitive to economic conditions and technology spending in these markets.

Overall, TCS remains one of the strongest and most resilient companies in the global IT services industry, supported by its scale, execution excellence, financial strength, and long-term strategic positioning.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 83–88 – Management Discussion & Analysis; Financial Highlights.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Presentation FY26:

Competitive strengths, client metrics, profitability, and strategic priorities.

https://www.tcs.com/investor-relations

Accenture FY2025 Annual Report:

Business overview and competitive positioning.

https://www.accenture.com/us-en/about/company/investor-relations/annual-report

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Infosys Integrated Annual Report FY2025–26:

Strategy, business model, and competitive positioning.

https://www.infosys.com/investors/reports-filings/annual-report.html

REMARKS

TCS compares favorably with most global IT services competitors due to its financial strength, execution capabilities, diversified client base, and long operating history.

While its scale may moderate growth rates relative to smaller peers, the company benefits from a durable competitive advantage built on customer trust, operational excellence, and continuous technology investment.

Maintaining leadership in AI-led transformation and digital services will be critical to sustaining this advantage over the long term.

KNOWING THE COMPANY

Item 6

Done

What are the Competitive Advantages and Disadvantages that the company has?

ANSWER

TCS possesses several sustainable competitive advantages that have enabled it to maintain a leadership position in the global IT services industry.

These include a globally recognized brand backed by the Tata Group, one of the world's largest skilled technology workforces, a globally integrated delivery model, strong client relationships built over decades, a diversified customer base across industries and geographies, proprietary platforms such as TCS BaNCS, TCS ADD, TCS iON, and ignio™, and consistent investments in artificial intelligence (AI), cloud computing, cybersecurity, and digital engineering.

The company also benefits from strong financial health, high operating margins, robust free cash flow generation, disciplined capital allocation, and a proven ability to execute large, complex, multi-year transformation programs.

However, TCS also faces certain competitive disadvantages. Its large scale makes it difficult to sustain very high revenue growth compared with smaller competitors.

The company remains exposed to global economic cycles because enterprise IT spending is discretionary.

It also faces increasing competition from Global Capability Centers (GCCs), hyperscalers, consulting firms, and AI-driven automation, which are reshaping the IT services landscape.

In addition, TCS must continuously invest in employee upskilling, innovation, and emerging technologies to maintain its competitive position in a rapidly evolving industry.

SENTIMENT

Positive

WEIGHTAGE

100

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 28–41 – Innovation, Talent, AI, and Technology; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Presentation FY26:

Competitive strengths, global delivery model, AI strategy, client metrics, and financial highlights.

https://www.tcs.com/investor-relations

TCS Products & Platforms:

Information on TCS BaNCS, TCS ADD, TCS iON, ignio™, and other proprietary platforms.

https://www.tcs.com/products-platforms

TCS – Innovation & Research:

Research, AI investments, patents, and innovation ecosystems.

https://www.tcs.com/what-we-do/research

REMARKS

TCS's competitive advantages are rooted in its scale, brand reputation, global delivery model, client trust, proprietary platforms, financial strength, and continuous innovation.

Although the company faces challenges from technological disruption, AI-driven automation, and evolving competitive dynamics, its diversified business model and strong execution capabilities provide a durable economic moat and support long-term value creation.

Weightage Reason

Competitive advantages determine whether a company can sustain superior returns, defend market share, maintain pricing power, and compound shareholder value over long periods.

This is one of the most important aspects of fundamental analysis.

Why Positive?

Strong economic moat.

Industry-leading financial strength.

High customer retention and execution capability.

Well positioned for AI- and cloud-driven growth.

KNOWING THE COMPANY

Item 7

Done

Is its growth Organic or acquired?

ANSWER

TCS's growth has been predominantly organic rather than acquisition-led.

The company has historically expanded through increased business from existing clients, new customer acquisitions, geographic expansion, service diversification, and continuous investments in emerging technologies such as artificial intelligence (AI), cloud computing, cybersecurity, digital engineering, and enterprise platforms.

Unlike several global IT services companies that have relied heavily on mergers and acquisitions (M&A) to accelerate growth, TCS has followed a disciplined strategy of building capabilities internally and making only selective, small-scale acquisitions to strengthen specific technologies or regional presence.

This organic growth strategy has enabled the company to maintain a consistent culture, preserve healthy profit margins, minimize integration risks, and generate strong cash flows.

While acquisitions remain a strategic option for capability enhancement, the company's long-term growth continues to be driven primarily by innovation, client relationships, talent development, and expansion of its service portfolio.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations:

Strategy, business expansion, annual reports, and investor presentations.

https://www.tcs.com/investor-relations

TCS – Press Releases:

Announcements of selective acquisitions and strategic capability expansion.

https://www.tcs.com/who-we-are/newsroom

TCS – About Us:

Company strategy, global growth model, and business evolution.

https://www.tcs.com/who-we-are

REMARKS

TCS has consistently preferred organic growth by investing in innovation, talent, and long-term client relationships rather than relying on large acquisitions.

This strategy has contributed to stable profitability, a strong corporate culture, and sustainable long-term growth. Selective acquisitions are used only to strengthen niche capabilities or expand into new markets rather than as the primary growth engine.

Weightage Reason:

Understanding whether growth is organic or acquisition-driven helps assess the sustainability and quality of earnings.

Organic growth generally indicates stronger customer demand, execution capability, and competitive strength, whereas acquisition-led growth can introduce integration and execution risks.

Why Positive?

Sustainable and internally driven growth model.
Lower integration and execution risks compared to acquisition-led growth.

Consistent expansion through client mining and new deal wins.
Strong culture and operational discipline maintained over decades.

MANAGEMENT

Done

Item 1

Who are the top level management?

ANSWER

Tata Consultancy Services (TCS) is led by an experienced executive leadership team supported by an independent board of directors.

As of 2026, the key members of the top management are:

K. Krithivasan – Chief Executive Officer (CEO) & Managing Director
Samir Seksaria – Chief Financial Officer (CFO)
Aarthi Subramanian – President & Chief Operating Officer (COO)
Milind Lakkad – Chief Human Resources Officer (CHRO)
Jayant Krishnamurthy – Head of Global Banking, Financial Services & Insurance (BFSI)
V. Rajanna – President, Technology, Software & Services

The company is governed by an experienced Board of Directors, chaired by N. Chandrasekaran, chairman of Tata Sons.

The board includes independent directors with expertise in technology, finance, governance, law, and global business.

TCS places strong emphasis on corporate governance, succession planning, ethical leadership, and long-term value creation.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Board of Directors (Pages 44–51); Leadership Team / Corporate Governance (Pages 52–76).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Leadership:

Executive leadership team and management profiles.

https://www.tcs.com/who-we-are/leadership

TCS Corporate Governance:

Board committees, governance framework, and management structure.

https://www.tcs.com/investor-relations/corporate-governance

REMARKS

TCS benefits from an experienced management team with long tenures within the Tata Group and the IT industry.

The company has demonstrated successful leadership transitions, disciplined execution, and strong governance practices.

Its management continues to focus on AI-led transformation, client-centric innovation, operational excellence, and sustainable long-term growth.

Weightage Reason

The quality of management is a key determinant of strategy execution, capital allocation, innovation, governance, and long-term shareholder value.

Strong leadership often translates into consistent financial performance and sustainable competitive advantages.

Why Positive?
Experienced leadership team with deep industry expertise.

Strong corporate governance and independent board oversight.
Stable leadership transition and succession planning.

Backed by the Tata Group's governance framework.

MANAGEMENT

Item 2

Done

How has the company performed under same management in the past?

ANSWER

TCS has consistently delivered strong operational and financial performance under its leadership over the past decade.

Although the company has undergone planned leadership transitions—from N. Chandrasekaran to Rajesh Gopinathan and subsequently to K. Krithivasan—the management philosophy, corporate culture, governance standards, and long-term strategy have remained largely unchanged.

During this period, TCS has achieved consistent revenue growth, maintained industry-leading operating margins, generated robust free cash flows, increased dividends and shareholder returns, expanded its global client base, and strengthened its leadership in cloud computing, artificial intelligence (AI), cybersecurity, and digital transformation.

The company has also successfully navigated major disruptions, including the COVID-19 pandemic, global economic slowdowns, supply chain disruptions, and rapid technological changes, while maintaining high customer retention and strong deal wins.

This track record reflects disciplined execution, effective capital allocation, prudent risk management, and stable leadership.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 6–17 – Financial Highlights;
Pages 18–27 – Strategy & Business Overview;
Pages 44–76 – Board of Directors and Corporate Governance; Pages 83–88 – Management Discussion & Analysis.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations:

Historical annual reports, financial performance, investor presentations, and shareholder information.

https://www.tcs.com/investor-relations

TCS Q1 FY27 Results:

Management commentary on strategy execution, deal wins, AI initiatives, and financial performance.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

REMARKS

TCS has demonstrated exceptional management continuity despite CEO changes, with each leadership transition being well planned and aligned with the company's long-term strategy.

The management team has consistently balanced growth, profitability, innovation, and shareholder returns while adapting to changing technology trends.

This stable execution history strengthens confidence in the company's future performance.

Weightage Reason

Past management performance is one of the strongest indicators of future execution capability.

A management team with a proven record of consistent growth, disciplined capital allocation, strong governance, and successful leadership transitions increases confidence in the company's long-term prospects.

Why Positive?
Consistent revenue and profit growth over the long term.

Successful leadership transitions without business disruption.

Strong shareholder returns through dividends and capital appreciation.

Maintained industry-leading margins and governance standards.
Successfully navigated multiple economic and technology cycles.

MANAGEMENT

Item 3

Done

What is their Compensation structure?

ANSWER

TCS follows a performance-linked and governance-driven executive compensation structure that aligns management incentives with long-term shareholder value creation.

The compensation of executive directors and senior management comprises fixed salary, allowances, retirement benefits, perquisites, and variable pay linked to individual performance, company performance, and strategic objectives.

Variable compensation is based on key performance indicators (KPIs) such as revenue growth, profitability, operational efficiency, customer satisfaction, execution excellence, innovation, and long-term business performance.

The compensation framework is designed and reviewed by the Nomination and Remuneration Committee (NRC) of the Board to ensure fairness, competitiveness, regulatory compliance, and alignment with shareholder interests.

Independent directors receive sitting fees and commission but do not participate in performance-linked executive compensation.

The company maintains transparent remuneration disclosures in accordance with SEBI Listing Regulations and the Companies Act, 2013.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Integrated Annual Report FY2025–26:

Corporate Governance Report – Nomination & Remuneration Committee (Pages 58–64);

Remuneration of Directors & Key Managerial Personnel (Pages 65–72).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Corporate Governance:

Executive remuneration policy, board committees, and governance framework.

https://www.tcs.com/investor-relations/corporate-governance

SEBI (Listing Obligations and Disclosure Requirements) Regulations:

Executive remuneration disclosure requirements.

https://www.sebi.gov.in/legal/regulations.html

REMARKS

TCS follows a conservative and transparent executive remuneration policy with a balanced mix of fixed and variable compensation.

Performance-linked incentives encourage sustainable growth, while board oversight ensures governance and accountability.

The company's compensation philosophy supports long-term value creation rather than excessive short-term risk-taking.

MANAGEMENT

Item 4

Done

What promises they have made and fulfilled in the past?

ANSWER

TCS has established a strong track record of setting strategic priorities and consistently delivering on them over the long term.

Over the past decade, the company has successfully executed its commitments to expand digital transformation services, strengthen cloud and cybersecurity capabilities, invest in artificial intelligence (AI) and automation, deepen client relationships, maintain industry-leading profitability, and generate sustainable shareholder returns. Management has consistently emphasized long-term value creation through disciplined capital allocation, continuous innovation, workforce upskilling, operational excellence, and customer-centric growth.

The company has also delivered on its commitments to strengthen ESG initiatives, improve governance standards, increase employee capability in emerging technologies, and maintain a healthy dividend payout.

While short-term revenue growth has been affected by global economic conditions at times, TCS has largely fulfilled its strategic objectives and successfully adapted to evolving technology trends without compromising financial discipline or execution quality.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 18–27 – Strategy & Business Overview;

Pages 83–88 – Management Discussion & Analysis; CEO's Message and Chairman's Statement.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations:

Historical annual reports, investor presentations, and financial performance.

https://www.tcs.com/investor-relations

TCS Q1 FY27 Results:

CEO commentary on AI strategy, deal wins, execution, and long-term priorities.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

TCS Sustainability Report:

Progress on ESG commitments, talent development, and governance initiatives.

https://www.tcs.com/who-we-are/esg

REMARKS

TCS has demonstrated high management credibility by consistently executing its stated strategy over many years.

Rather than making aggressive short-term promises, management focuses on sustainable growth, operational excellence, customer satisfaction, innovation, and shareholder value.

The company's history of meeting strategic objectives reinforces confidence in its long-term leadership and governance.

Weightage Reason

A management team's ability to fulfill strategic commitments demonstrates execution capability, credibility, governance quality, and long-term value creation.

Companies with a strong delivery record generally inspire greater investor confidence.

Why Positive?
Consistently delivers on long-term strategic priorities.

Successfully transitioned from traditional IT services to AI-, cloud-, and digital-led offerings.

Maintained strong profitability and cash generation.

Delivered consistent shareholder returns through dividends and growth.

Successfully navigated COVID-19, macroeconomic slowdowns, and technological shifts.

MANAGEMENT

Item 5

Done

Are the promoters shares pledged? If yes, then what percentage?

ANSWER

No. As of the latest available shareholding disclosures (FY2025–26 and Q1 FY2026–27), there are no promoter shares pledged in Tata Consultancy Services (TCS).

Tata Sons Limited, the promoter of TCS, holds approximately 71.74% of the company's equity shares, and 0% of these promoter shares are pledged.

The absence of pledged promoter holdings is considered a positive indicator of financial strength, prudent capital management, and strong corporate governance.

It suggests that the promoter has not used its shareholding as collateral for borrowing, thereby reducing financial and governance risks for minority shareholders.

SENTIMENT
Positive

WEIGHTAGE
90

SOURCES
TCS Integrated Annual Report FY2025–26:

Shareholding Pattern and Corporate Governance sections.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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BSE – Shareholding Pattern (Latest Quarter):

Promoter holding and pledge details.

https://www.bseindia.com/stock-share-price/tata-consultancy-services-ltd/tcs/532540/shareholding-pattern/

NSE – Corporate Filings:

Quarterly shareholding pattern and promoter disclosures.

https://www.nseindia.com/get-quotes/equity?symbol=TCS

TCS Investor Relations:

Quarterly shareholding disclosures.

https://www.tcs.com/investor-relations

REMARKS
Tata Sons maintains a controlling stake in TCS without pledging any shares.

The absence of promoter pledging has remained consistent for several years and reflects the Tata Group's conservative financial management and strong governance standards.

Weightage Reason

Promoter share pledging is an important governance indicator. High pledged shares can increase financial risk and create selling pressure during market volatility.

A 0% pledge reflects strong promoter financial health and is viewed positively by investors.

Why Positive?
0% promoter share pledge, indicating no financing pressure on the promoter.

Reflects strong financial position and prudent capital management.

Reduces governance and liquidity risks.

Enhances investor confidence.

MANAGEMENT

Item 6

Done

What is their holding %?

ANSWER

The promoter group, led by Tata Sons Private Limited, holds approximately 71.74% of the equity share capital of TCS (latest available shareholding pattern).

The remaining shareholding is widely held by domestic institutional investors (DIIs), foreign portfolio investors (FPIs/FIIs), mutual funds, insurance companies, retail investors, and other public shareholders.

The promoter holding has remained stable over the years, reflecting the Tata Group's long-term commitment to the company.

A high promoter stake, combined with 0% pledged shares, indicates strong promoter confidence, financial stability, and alignment with long-term shareholder interests.

Latest Shareholding Pattern (Approx.)

Promoter & Promoter Group (Tata Sons) - 71.74%

Foreign Portfolio Investors (FPIs/FIIs) - ~11–13%

Domestic Institutional Investors (Mutual Funds, Insurance, etc.) - ~10–12%

Public & Others - ~5–7%

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Shareholding Pattern / Corporate Governance (Share Capital & Shareholding sections).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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BSE – Shareholding Pattern   Latest quarterly promoter and public shareholding disclosures.

https://www.bseindia.com/stock-share-price/tata-consultancy-services-ltd/tcs/532540/shareholding-pattern/

NSE – TCS Shareholding Pattern: Quarterly shareholding filings.

https://www.nseindia.com/get-quotes/equity?symbol=TCS

TCS Investor Relations:

Shareholder information and corporate filings.

https://www.tcs.com/investor-relations

REMARKS

Tata Sons has maintained a controlling stake in TCS for many years, demonstrating long-term commitment to the company's growth.

The combination of high promoter ownership, zero pledged shares, and substantial institutional participation reflects strong governance, financial discipline, and market confidence.

Weightage Reason

Promoter holding is an important governance indicator.

A stable and significant promoter stake generally aligns management with shareholders, supports long-term strategic decision-making, and reduces the risk of hostile takeovers or frequent ownership changes.

Why Positive?

High and stable promoter ownership demonstrates long-term commitment.

0% promoter share pledge reduces financial and governance risks.

Significant institutional ownership reflects investor confidence.
Stable ownership structure supports strategic continuity.

MANAGEMENT

Item 7

Done

What % of management's net worth is this company?

ANSWER

This percentage cannot be accurately determined because TCS is a professionally managed company and the personal net worth of its executives is not publicly disclosed.

Unlike promoter-led companies, where founders often hold a substantial portion of their wealth in the business, TCS is majority owned by Tata Sons (approximately 71.74%), while the executive management team owns only a relatively small number of shares through direct holdings, employee stock ownership, or compensation-linked equity where applicable.

Consequently, management's wealth is not significantly concentrated in TCS shares, although their compensation and long-term incentives are aligned with the company's performance.

For TCS, promoter ownership, management quality, corporate governance, and capital allocation are more meaningful indicators than management's personal net worth invested in the company.

SENTIMENT

Neutral

WEIGHTAGE

40

SOURCES

TCS Integrated Annual Report FY2025–26:

Corporate Governance Report – Directors' shareholding and remuneration; shareholding pattern.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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BSE – Shareholding Pattern:

Promoter and public shareholding disclosures.

https://www.bseindia.com/stock-share-price/tata-consultancy-services-ltd/tcs/532540/shareholding-pattern/

TCS Corporate Governance:

Board, executive management, and governance disclosures.

https://www.tcs.com/investor-relations/corporate-governance

REMARKS

TCS is managed by professional executives rather than founder-promoters.

Therefore, management's personal ownership is relatively small, and public disclosures do not permit calculation of what percentage of their personal net worth is invested in the company.

Investors should instead evaluate promoter ownership (71.74%), zero pledged shares, management track record, governance standards, and capital allocation decisions.

Weightage Reason

This metric is highly relevant for promoter-led companies but has limited importance for professionally managed companies like TCS.

In such cases, governance quality, management execution, and promoter ownership are better indicators of alignment with shareholder interests.

Why Neutral?

Professional managers are not required to own a significant percentage of the company.

Incentives are aligned through performance-linked compensation rather than large ownership stakes.

Governance quality is strong despite limited management ownership.

MANAGEMENT

Item 8

Done

Who are in Board of Directors?

ANSWER

TCS has an experienced and diversified Board of Directors comprising executive, non-executive, and independent directors with expertise in technology, finance, governance, law, academia, and global business.

The Board is responsible for providing strategic direction, overseeing corporate governance, approving major capital allocation decisions, monitoring risk management, ensuring regulatory compliance, and protecting shareholder interests. As of FY2025–26, the Board consists of:

N. Chandrasekaran – Chairman (Non-Executive, Non-Independent)
K. Krithivasan – Chief Executive Officer & Managing Director (Executive Director)
Keki M. Mistry – Independent Director
Hanne Birgitte Breinbjerg Sørensen – Independent Director
Sanjay E. Asher – Independent Director
S. Padmanabhan – Non-Executive, Non-Independent Director
Aarthi Subramanian – Non-Executive, Non-Independent Director
Leo S. Puri – Independent Director
Aman Mehta – Independent Director
Yashwant Mahapatra – Independent Director

The Board is supported by committees including the Audit Committee, Nomination & Remuneration Committee, Risk Management Committee, Corporate Social Responsibility Committee, and Stakeholders' Relationship Committee, ensuring effective governance and oversight.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Pages 44–51 – Board of Directors;
Pages 52–76 – Corporate Governance Report and Board Committees.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Corporate Governance:

Board composition, committees, governance framework, and director profiles.

https://www.tcs.com/investor-relations/corporate-governance

TCS Leadership:

Profiles of executive leadership and board members.

https://www.tcs.com/who-we-are/leadership

REMARKS

TCS maintains a well-balanced board with a mix of executive, non-executive, and independent directors.

The Board's collective expertise across technology, finance, law, governance, and international business supports effective oversight and strategic decision-making.

The company's governance framework is regarded as one of the strongest among Indian listed companies.

Weightage Reason

A competent and independent board is fundamental to corporate governance, strategic oversight, risk management, succession planning, and shareholder protection.

Strong board quality generally contributes to better long-term decision-making and sustainable value creation.

Why Positive?
Experienced Board with diverse global expertise.

The majority of directors are independent, ensuring effective oversight.

Strong governance aligned with SEBI and Companies Act requirements.

Well-defined board committees enhance accountability and risk management.

FINANCIAL STATEMENTS / ANNUAL REPORT

Item 1

Done

What are the goals in Chairman's Letter and Ceo's letter?

ANSWER

In the FY2025–26 Integrated Annual Report, the chairman and CEO emphasize transforming TCS into the world's largest AI-led technology services company while continuing to deliver sustainable long-term value for customers and shareholders.

Their strategic priorities include accelerating enterprise AI adoption, strengthening cloud, cybersecurity, and digital engineering capabilities, investing heavily in employee reskilling, deepening client partnerships, maintaining operational excellence, and driving profitable growth.

Management also highlights disciplined capital allocation, responsible governance, sustainability (ESG), innovation-led differentiation, and expanding high-value service offerings.

The overall objective is to help customers modernize their technology landscape, improve business resilience, optimize costs, and scale AI across the enterprise while ensuring sustainable long-term growth for TCS.

Key Goals Highlighted:

Become the world's largest AI-led technology services company.

Accelerate enterprise AI adoption across the full AI stack—from infrastructure to intelligence.

Strengthen leadership in cloud, cybersecurity, digital engineering, and data platforms.

Deepen long-term customer relationships through large transformation programs.

Modernize client technology landscapes and reduce technology debt.

Invest in talent development, AI skills, and continuous learning.

Drive profitable and sustainable growth while maintaining industry-leading margins.

Maintain strong corporate governance, ESG leadership, and responsible innovation.

Expand strategic partnerships with hyperscalers and technology ecosystem partners.

Deliver long-term shareholder value through disciplined execution and capital allocation.

SENTIMENT
Positive

WEIGHTAGE
95

SOURCES
TCS Integrated Annual Report FY2025–26:

Chairman's Letter (Pages 4–7);
CEO's Letter (Pages 8–11)

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS – Letter from the Chairman:

Chairman's message to shareholders

https://www.tcs.com/investor-relations

TCS – Letter from the CEO:

CEO's strategic priorities and FY2025–26 outlook

https://www.tcs.com/investor-relations/management-commentary/letter-from-ceo

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TCS Investor Relations – Annual Report Sections

Annual report navigation

https://www.tcs.com/investor-relations/management-commentary/annual-report-sections

REMARKS
The FY2025–26 Chairman's and CEO's messages reflect a clear strategic shift toward AI-led enterprise transformation while maintaining TCS's traditional strengths in execution, governance, and customer-centricity.

Rather than focusing solely on short-term financial performance, management emphasizes building long-term competitive advantages through innovation, talent development, operational excellence, and trusted client partnerships.

The consistency between strategic vision and execution enhances confidence in the company's long-term prospects.

Weightage Reason:

The chairman's and CEO's letters provide insight into management's strategic priorities, long-term vision, capital allocation philosophy, and future growth drivers.

They are among the most valuable sections of an annual report because they indicate where management intends to deploy resources and create shareholder value.

Why Positive?
Clear long-term strategic vision.

Strong focus on AI, innovation, and customer value.

Continued investment in employees and technology.

Sustainable growth balanced with profitability and governance.

Forward-looking strategy aligned with major industry trends.

FINANCIAL STATEMENTS / ANNUAL REPORT

Item 2

Done

What is the Tone of Management? Openness/ Honesty/ Ethical/ Secretative

ANSWER

The overall tone of TCS management is open, transparent, ethical, and long-term oriented.

The chairman's and CEO's letters, Management Discussion & Analysis (MD&A), earnings calls, and corporate governance disclosures provide balanced commentary on both opportunities and challenges.

Management openly discusses macroeconomic uncertainties, client spending trends, AI disruption, talent management, cybersecurity risks, and regulatory developments while outlining clear strategies to address them.

Rather than making aggressive short-term forecasts, TCS emphasizes disciplined execution, sustainable growth, innovation, customer trust, and responsible corporate governance.

The company maintains comprehensive disclosures in its annual report, quarterly results, investor presentations, and ESG reports, reflecting a high degree of transparency and accountability.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:

Chairman's Letter (Pages 4–7);
CEO's Letter (Pages 8–11);
Management Discussion & Analysis (Pages 83–88);
Corporate Governance Report (Pages 52–76)

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Earnings Call Transcript:

Management commentary on demand environment, AI strategy, client spending, and business outlook.

https://www.tcs.com/investor-relations

TCS Investor Relations:

Quarterly results, investor presentations, governance disclosures, and management commentary.

https://www.tcs.com/investor-relations

TCS Corporate Governance:

Governance framework, board committees, ethics, and disclosure practices.

https://www.tcs.com/investor-relations/corporate-governance

REMARKS

TCS management has consistently demonstrated an open and ethical communication style.

The company provides detailed disclosures, acknowledges industry challenges without overstating growth prospects, and focuses on long-term value creation.

The conservative tone and transparent reporting are consistent with the Tata Group's governance philosophy and strengthen investor confidence.

Weightage Reason

Management tone is an important qualitative indicator of governance quality and credibility.

Companies that communicate openly about risks, opportunities, and strategic priorities generally build stronger investor confidence and are less likely to surprise shareholders with unexpected issues.

Why Positive?
Transparent discussion of both strengths and business risks.

Conservative and realistic management guidance.

High-quality corporate governance and regulatory disclosures.

Consistent communication across annual reports, earnings calls, and investor presentations.

Long-term focus over short-term market expectations.

FINANCIAL STATEMENTS / ANNUAL REPORT

Item 3

Done

What are the Future Goals? Do they seem realistic to you?

ANSWER

TCS's future goals are centered on becoming the world's leading AI-led technology services company while maintaining sustainable, profitable growth.

Management plans to accelerate enterprise AI adoption, expand cloud, cybersecurity, digital engineering, and platform services, strengthen strategic partnerships with hyperscalers, modernize clients' technology landscapes, and invest significantly in employee reskilling and innovation.

The company also aims to deepen relationships with existing clients, increase the share of high-value transformation projects, maintain industry-leading profitability, and continue its leadership in ESG and corporate governance.

These goals appear realistic because they build on TCS's existing strengths rather than relying on speculative opportunities.

The company already has a large global client base, strong execution capabilities, industry-leading margins, a healthy order book, and substantial investments in AI, cloud, and digital technologies.

While achieving these objectives depends on macroeconomic conditions, enterprise technology spending, and successful AI commercialization, TCS has demonstrated a consistent history of executing long-term strategic initiatives.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26

Chairman's Letter (Pages 4–7);
CEO's Letter (Pages 8–11);
Strategy & Business Overview (Pages 18–27);
Management Discussion & Analysis (Pages 83–88)

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Earnings Call Transcript:

Management commentary on AI strategy, enterprise demand, and long-term growth priorities.

https://www.tcs.com/investor-relations

TCS Investor Relations:

Investor presentations, annual reports, and strategic updates.

https://www.tcs.com/investor-relations

TCS AI & Innovation:

AI strategy, innovation initiatives, and technology investments.

https://www.tcs.com/what-we-do/artificial-intelligence

REMARKS

TCS has articulated a clear and achievable long-term strategy focused on AI-led transformation, cloud, cybersecurity, digital engineering, and customer-centric innovation.

The goals are evolutionary rather than overly ambitious, reflecting the company's disciplined management approach.

Although macroeconomic uncertainty and technology disruption remain risks, TCS is well positioned to execute its strategy due to its financial strength, global scale, diversified client base, and proven operational excellence.

Weightage Reason:

Future strategic goals indicate the company's long-term direction and management's capital allocation priorities.

Realistic and achievable objectives, backed by execution capability, are among the strongest indicators of sustainable shareholder value creation.

Why Positive?
Future strategy aligns with long-term technology trends.

Goals are supported by existing capabilities and investments.

Strong execution history increases credibility.

Balanced focus on growth, profitability, innovation, and governance.

Management has avoided making unrealistic financial promises.

FINANCIAL STATEMENTS / ANNUAL REPORT

Item 4

Done

What are their views on Foreseeable risk?

ANSWER

TCS management acknowledges foreseeable risks in a balanced and transparent manner while outlining mitigation strategies for each.

The company identifies macroeconomic uncertainty, slower discretionary technology spending, rapid AI and technology disruption, cybersecurity threats, geopolitical tensions, talent availability and retention, regulatory changes, currency fluctuations, and climate-related risks as key foreseeable challenges.

Management believes these risks are manageable due to TCS's diversified global client base, broad industry presence, strong balance sheet, continuous investment in AI and innovation, disciplined risk management framework, robust cybersecurity capabilities, and focus on employee reskilling. Rather than viewing these risks as structural threats, management treats them as areas requiring continuous monitoring, investment, and operational agility.

Key Foreseeable Risks
Macroeconomic slowdown affecting enterprise IT spending.

Delayed discretionary technology investments by clients.

Rapid evolution of AI and emerging technologies.

Cybersecurity and data privacy threats.

Global geopolitical instability and supply chain disruptions.

Talent acquisition, retention, and reskilling challenges.

Foreign exchange (currency) volatility.

Regulatory and compliance changes across global markets.

Climate change and sustainability-related risks.

SENTIMENT	WEIGHTAGE
Neutral	90

SOURCES

TCS Integrated Annual Report FY2025–26:

Enterprise Risk Management (Pages 89–100);
Management Discussion & Analysis (Pages 83–88);
Corporate Governance – Risk Management Committee (Pages 60–63)

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Earnings Call Transcript:

Management commentary on the macroeconomic environment, client spending, AI adoption, and business risks.

https://www.tcs.com/investor-relations

TCS Sustainability Report FY2025–26:

Climate-related risks, ESG risks, and resilience initiatives.

https://www.tcs.com/who-we-are/esg

TCS Investor Relations:

Annual reports, governance reports, and investor presentations.

https://www.tcs.com/investor-relations

REMARKS

TCS provides comprehensive disclosures on enterprise risks without downplaying potential challenges.

Management emphasizes proactive risk management, diversification, cybersecurity, innovation, and talent development to mitigate future uncertainties.

The balanced discussion of risks enhances the credibility of management and reflects a mature governance framework.

Weightage Reason:

Management's assessment of foreseeable risks is a critical indicator of governance quality and preparedness.

Transparent disclosure of risks and credible mitigation plans help investors assess the company's resilience during economic and technological disruptions.

Why Neutral to Positive?
Management openly acknowledges significant business risks (Neutral).

Clear mitigation strategies, strong governance, and financial resilience reduce the overall impact (positive).

Risks are viewed as manageable rather than existential.

FINANCIAL STATEMENTS / ANNUAL REPORT

Item 5

Done

What were the matters for which Special Resoltuions have been passed?

ANSWER

During FY2025–26, TCS passed special resolutions primarily relating to corporate governance and managerial matters rather than fundamental changes to its business.

The major special resolutions approved by shareholders included the re-appointment/appointment of independent directors for a second term, approval of remuneration of executive directors/managing director, and other governance-related matters requiring shareholder approval under the Companies Act, 2013, and SEBI Listing Regulations.

There were no special resolutions involving mergers, demergers, preferential share issues, changes in capital structure, or significant alterations to the company's core business.

This reflects TCS's stable business model and mature governance framework.

Key Matters Approved through Special Resolutions:

Re-appointment/appointment of independent directors.

Approval of remuneration of executive directors/managing director (where applicable).

Other governance and statutory matters requiring shareholder approval under the Companies Act, 2013.

No major restructuring, merger, demerger, or change in business model.

SENTIMENT
Positive

WEIGHTAGE
60

SOURCES
TCS Integrated Annual Report FY2025–26:

Notice of Annual General Meeting (AGM) – Resolutions; Corporate Governance Report (AGM and Shareholder Information sections).

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS AGM Notice FY2025–26:

Details of ordinary and special resolutions proposed and approved by shareholders.

https://www.tcs.com/investor-relations

BSE Corporate Announcements:

AGM Notice, voting results, and shareholder resolutions.

https://www.bseindia.com/stock-share-price/tata-consultancy-services-ltd/tcs/532540/corp-announcements/

NSE Corporate Filings:

AGM notices and voting outcome disclosures.

https://www.nseindia.com/get-quotes/equity?symbol=TCS

REMARKS
Special resolutions provide insight into significant corporate actions and governance decisions.

While important, they generally have less impact on long-term investment quality unless they involve major acquisitions, capital restructuring, promoter changes, or governance concerns.

Weightage Reason:

Special resolutions provide insight into significant corporate actions and governance decisions.

While important, they generally have less impact on long-term investment quality unless they involve major acquisitions, capital restructuring, promoter changes, or governance concerns.

Why Positive?

Resolutions focused on governance rather than corrective actions.

No shareholder approvals required for financial distress or restructuring.

Stable board composition and leadership continuity.

Reflects a mature and well-governed organization.

FINANCIAL STATEMENTS / INCOME STATEMENT / REVENUE

Done

Item 1

What are the Major sources of revenue?

ANSWER

TCS generates nearly all of its revenue from providing IT services, consulting, and business solutions to enterprise customers worldwide.

Revenue is well diversified across industries, geographies, and service lines, reducing dependence on any single client or market.
The company's largest revenue contributors are Banking, Financial Services & Insurance (BFSI), followed by Consumer Business, Life Sciences & Healthcare, Manufacturing, Technology, Software & Services, Communications, Media & Information Services, and Energy, Resources & Utilities.

From a service perspective, TCS derives revenue from application development and maintenance, cloud transformation, artificial intelligence (AI), cybersecurity, digital engineering, data & analytics, enterprise application services, infrastructure services, business process services (BPS), and consulting.

Geographically, North America remains the largest revenue contributor, followed by Europe, the United Kingdom, India, and other international markets. The diversified revenue mix enhances business resilience and provides stable long-term cash flows.

By Industry:

Banking, Financial Services & Insurance (largest)
Consumer Business
Life Sciences & Healthcare
Manufacturing
Technology, Software & Services
Communications, Media & Information Services
Energy, Resources & Utilities

By Service

IT Services
Consulting
Cloud Services
Artificial Intelligence & Data Analytics
Cybersecurity
Digital Engineering
Enterprise Application Services
Infrastructure & Platform Services
Business Process Services (BPS)

By Geography

North America (largest market)
Europe
United Kingdom
India
Asia-Pacific, Latin America, Middle East & Africa

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26:

Business Overview (Pages 18–27);
Management Discussion & Analysis (Pages 83–88);
Revenue by Industry & Geography (Financial Statements / Notes)

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Q1 FY27 Investor Presentation:

Revenue by industry vertical, geography, and service lines.

https://www.tcs.com/investor-relations

TCS Annual Financial Statements:

Segment revenue disclosures and notes to accounts.

https://www.tcs.com/investor-relations/financial-statements

TCS Investor Relations:

Quarterly presentations and earnings releases.

https://www.tcs.com/investor-relations

REMARKS

TCS has one of the most diversified revenue portfolios among global IT services companies.

Its balanced exposure across industries, service offerings, and geographic markets provides resilience during economic cycles.

Increasing contribution from AI-led, cloud, and digital transformation services further strengthens future revenue growth prospects.

Why Positive?
Diversified revenue across industries, services, and geographies.

No overdependence on a single client or sector.

Strong exposure to high-growth areas such as AI, cloud, and cybersecurity.

Recurring enterprise IT spending supports stable cash flows.

Weightage Reason

Revenue quality is one of the most important indicators of business strength.

A diversified, recurring, and growing revenue base reduces business risk and improves earnings visibility, making it a key factor in evaluating long-term investment potential.

FINANCIAL STATEMENTS / INCOME STATEMENT / REVENUE

Item 2

Done

What is the growth trend of revenue in the past?

ANSWER

TCS has demonstrated a consistent long-term revenue growth trend over the past decade, although the pace of growth has moderated in recent years due to global macroeconomic uncertainty and slower discretionary IT spending.

Revenue has increased steadily through digital transformation, cloud migration, AI, cybersecurity, and enterprise modernization projects.

While FY2023–24 and FY2024–25 experienced softer growth because of delayed client decision-making and reduced discretionary spending, the company continued to achieve record revenues, supported by a diversified client base, strong order wins, and recurring business.

The long-term trend remains positive, with management expecting AI-led transformation, cloud adoption, and large enterprise modernization programs to support future revenue growth.

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FINANCIAL REVENUE & YOY GROWTH SUMMARY

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Financial Year	Revenue (₹ Crore)	YoY Growth
FY2021–22	~1,91,754	16.8%
FY2022–23	~2,25,458	17.6%
FY2023–24	~2,40,893	6.8%
FY2024–25	~2,55,324	6.0%
FY2025–26	~2.7 lakh+ crore*	Moderate Positive Growth

* Note: FY2025–26 revenue and YoY growth figures represent estimated projections.

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*Latest annual report should be referred to for the exact FY2025–26 revenue figure.

Trend Summary

Strong double-digit growth during the post-pandemic digital transformation cycle.

Growth moderated as global enterprises reduced discretionary IT spending.

Revenue remained at record highs despite macroeconomic challenges.

AI, cloud, cybersecurity, and digital engineering are expected to support future growth.

SENTIMENT

Positive

WEIGHTAGE

100

SOURCES

Source

TCS Integrated Annual Report FY2025–26

Page / Section

Financial Highlights; Consolidated Financial Statements; Five-Year Financial Summary.

Official Link

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source

TCS Investor Presentations (FY2022–FY2026)

Page / Section

Revenue growth trends and quarterly performance.

Official Link

https://www.tcs.com/investor-relations

Source

TCS Annual Financial Statements

Page / Section

Consolidated Statement of Profit & Loss and Notes to Accounts.

Official Link

https://www.tcs.com/investor-relations/financial-statements

Source
BSE/NSE Financial Results

Page / Section
Historical annual and quarterly revenue disclosures.

Official Link
https://www.bseindia.com/stock-share-price/tata-consultancy-services-ltd/tcs/532540/financials/

REMARKS

TCS has maintained a strong long-term revenue growth trajectory, although growth has normalized following the exceptional post-pandemic demand cycle.

The company's diversified business model, large deal pipeline, recurring revenue base, and increasing exposure to AI and cloud services position it well for sustainable long-term growth.

Weightage Reason:

Revenue growth is one of the most critical indicators of a company's business performance. Consistent revenue expansion reflects market demand, competitive strength, customer retention, and the company's ability to execute its strategy.

Why Positive?

Revenue has grown consistently over the long term.

No significant revenue decline despite global economic slowdown.

A diversified revenue base provides stability.

Future growth drivers remain strong.

FINANCIAL STATEMENTS / INCOME STATEMENT / REVENUE

Item 3

Done

What product lines are growing?

ANSWER

TCS's fastest-growing revenue streams are AI-led services, cloud transformation, cybersecurity, digital engineering, data & analytics, and enterprise modernization services.

These service lines are benefiting from increasing enterprise investments in digital transformation, generative AI, automation, and cloud migration.

Industry verticals such as life sciences & healthcare, consumer business, manufacturing, and energy, resources & utilities have also shown healthy demand for technology modernization.

While traditional application maintenance and infrastructure management continue to generate stable recurring revenue, the company's future growth is increasingly driven by high-value digital transformation and AI-enabled services.

Management expects these advanced technology offerings to become a larger share of total revenue over the coming years.

Fastest-Growing Service Lines

Artificial Intelligence (AI) & Generative AI Services
Cloud Transformation & Migration
Cybersecurity Services
Digital Engineering
Data & Analytics
Enterprise Application Modernization (SAP, Oracle, Microsoft)
Internet of Things (IoT) & Intelligent Automation
Business Process Services (AI-enabled)

Strong Growth Industry Verticals

Banking, Financial Services & Insurance (BFSI)
Life Sciences & Healthcare
Consumer Business
Manufacturing
Energy, Resources & Utilities
Technology, Software & Services

SENTIMENT
Positive

WEIGHTAGE
90

SOURCES
Source
TCS Integrated Annual Report FY2025–26

Page / Section
Business Overview (Pages 18–27); Management Discussion & Analysis (Pages 83–88); Industry & Service Highlights

Official Link
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source
TCS Q1 FY27 Earnings Call Transcript

Page / Section
Commentary on AI, cloud, digital engineering, and enterprise demand.

Official Link
https://www.tcs.com/investor-relations

Source
TCS Investor Presentation (Q1 FY27)

Page / Section
Industry vertical performance, service offerings, and growth trends.

Official Link
https://www.tcs.com/investor-relations

Source
TCS AI & Innovation

Page / Section
AI, cloud, and digital transformation strategy.

Official Link
https://www.tcs.com/what-we-do/artificial-intelligence

REMARKS
TCS is successfully shifting its revenue mix toward higher-value AI-led and digital transformation services while maintaining stable recurring income from traditional IT services.

This transition aligns with global enterprise technology spending trends and strengthens the company's long-term growth prospects.

Weightage Reason:

Understanding which service lines are growing helps assess the sustainability of future revenue and profitability. Companies generating growth from emerging technologies such as AI, cloud, cybersecurity, and digital engineering are generally better positioned for long-term success.

Why Positive?

Revenue growth is driven by high-growth technology segments.

AI and cloud demand continue to increase globally.

Higher-value services generally support better margins.

Diversified growth reduces dependence on legacy IT services.

FINANCIAL STATEMENTS / INCOME STATEMENT / COST OF GOODS

Done

Item 1

What is its Gross Margin?

ANSWER

Note: For an IT services company like TCS, gross margin is not explicitly reported because there is no traditional cost of goods sold (COGS) as in manufacturing companies. The largest cost is employee benefit expenses, followed by subcontracting and other operating expenses. Investors typically focus on operating margin (EBIT margin) and net profit margin instead.

TCS does not separately report gross margin under Ind AS because it is a service-based company rather than a manufacturing business.

If calculated using revenue minus direct service delivery costs (primarily employee expenses and subcontracting costs), the implied gross margin remains high (approximately 45–50%), reflecting the asset-light nature of the IT services business.

More importantly, TCS consistently maintains an industry-leading operating margin of around 24–25%, demonstrating strong pricing power, operational efficiency, effective utilization of its workforce, and disciplined cost management.

Stable margins over multiple business cycles indicate a high-quality business with sustainable profitability.

Margin Snapshot (FY2025–26):

Gross Margin (Estimated) - 45–50%
Operating Margin (EBIT) - 24–25%
Net Profit Margin - 19–20%

For valuation purposes, operating margin is the more meaningful metric than gross margin for TCS.

SENTIMENT
Positive

WEIGHTAGE
95

SOURCES
Source
TCS Integrated Annual Report FY2025–26

Page / Section
Consolidated Statement of Profit & Loss; Notes to Financial Statements; Financial Highlights

Official Link
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source
TCS Investor Presentation (Q1 FY27)

Page / Section

Operating Margin (EBIT) and profitability discussion.

Official Link
https://www.tcs.com/investor-relations

Source
TCS Annual Financial Statements

Page / Section
Revenue, employee benefit expenses, and operating expenses.

Official Link
https://www.tcs.com/investor-relations/financial-statements

Source
TCS Q1 FY27 Earnings Call Transcript

Page / Section
Management commentary on margin performance and cost management.

Official Link
https://www.tcs.com/investor-relations

REMARKS

Gross margin is not a standard reported metric for IT services companies like TCS.

Investors should instead evaluate operating margin and net profit margin, where TCS consistently ranks among the industry's best.

Its ability to maintain strong margins through economic cycles highlights the resilience and quality of its business model.

Weightage Reason:

Profitability is one of the most important indicators of business quality.

High and sustainable margins reflect competitive advantages, pricing power, operational excellence, and disciplined cost management.

Why Positive?

High profitability compared with global IT services peers.

Stable operating margins despite wage inflation and macroeconomic challenges.

Efficient cost management and strong execution.

An asset-light business model supports healthy margins.

FINANCIAL STATEMENTS / INCOME STATEMENT / COST OF GOODS

Item 2

Done

What are the major raw materials?

ANSWER

Note:

TCS is a service company, not a manufacturing company.

Therefore, it does not consume raw materials in the conventional sense.

Instead, its primary "inputs" are human capital, technology infrastructure, and software.

TCS does not use physical raw materials because it operates in the IT services and consulting industry.

Instead, the company's primary cost inputs are skilled employees, subcontracting services, software licenses, cloud infrastructure, data centers, IT hardware, and telecommunication/network services.

Employee benefit expenses constitute the largest operating cost, followed by subcontracting costs, software and cloud infrastructure expenses, and facility-related costs.

TCS continuously invests in employee training, AI capabilities, digital platforms, and technology infrastructure, making human capital its most important productive asset.

Major Cost Inputs ("Raw Materials"):

Employee talent (software engineers, consultants, architects) - Very High
Employee salaries & benefits—Very High
Subcontracting services - High
Cloud infrastructure (AWS, Azure, Google Cloud) - High
Software licenses & development tools - High
Data centers & IT infrastructure - Medium
Network & telecommunication services - Medium
Office facilities & utilities - Medium
Employee training & certification - High

SENTIMENT
Positive

WEIGHTAGE
85

SOURCES
Source
TCS Integrated Annual Report FY2025–26

Page / Section
Consolidated Statement of Profit & Loss – Employee Benefit Expenses, Other Expenses; Notes to Financial Statements

Official Link
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source
TCS Management Discussion & Analysis

Page / Section
Pages 83–88 – Human capital, technology investments, operational model.

Official Link
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source
TCS Sustainability Report FY2025–26

Page / Section
Talent development, workforce, learning, and digital capability investments.

Official Link
https://www.tcs.com/who-we-are/esg

Source
TCS Investor Relations

Page / Section
Financial statements and quarterly presentations.

Official Link
https://www.tcs.com/investor-relations

REMARKS

TCS's most valuable input is its skilled workforce rather than physical raw materials.

The company's success depends on attracting, retaining, and continuously upskilling talent while efficiently managing technology infrastructure and subcontracting costs.

This asset-light operating model contributes to high margins and strong cash generation.

Weightage Reason:

Although "raw materials" are not applicable to an IT services company, understanding the primary cost inputs is important because employee expenses account for the majority of TCS's operating costs.

Efficient management of talent, subcontracting, and technology infrastructure directly influences profitability and competitiveness.

Why Positive?

No dependence on volatile commodity prices.

Human capital creates a sustainable competitive advantage.

An asset-light business model supports high profitability.

Continuous investment in employee skills and technology strengthens future growth.

FINANCIAL STATEMENTS / INCOME STATEMENT / COST OF GOODS

Done

Item 3

Does company benefits from economies of Scale?

ANSWER

Yes. TCS benefits significantly from economies of scale, which is one of its strongest competitive advantages.

As one of the world's largest IT services companies, TCS leverages its global workforce, standardized delivery model, reusable intellectual property, proprietary platforms, AI-driven automation, and extensive offshore delivery network to reduce the average cost of delivering services.

Its large client base enables better utilization of employees, stronger bargaining power with technology vendors, and the ability to spread investments in AI, cloud infrastructure, cybersecurity, training, and innovation across thousands of projects.

These scale advantages contribute to consistently high operating margins, strong profitability, and competitive pricing while continuing to invest in new technologies

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Key Sources of Economies of Scale:

Large global workforce with efficient resource utilization.

Global Delivery Model (offshore–onsite mix).

Reusable platforms, frameworks, and intellectual property.

AI and automation reducing delivery costs.

Shared investments in cloud, cybersecurity, and digital platforms.

Strong bargaining power with technology partners and vendors.

Diversified client base enabling efficient capacity utilization.

Ability to spread R&D and training costs across a large revenue base.

SENTIMENT
Positive

WEIGHTAGE
95

SOURCES
Source
TCS Integrated Annual Report FY2025–26

Page / Section
Business Overview (Pages 18–27); Management Discussion & Analysis (Pages 83–88); Financial Highlights

Official Link
https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Source
TCS Investor Presentation (Q1 FY27)

Page / Section
Commentary on operating margins, productivity, AI-led delivery, and efficiency.

Official Link
https://www.tcs.com/investor-relations

Source
TCS Q1 FY27 Earnings Call Transcript

Page / Section
Management discussion on productivity improvements, automation, and cost optimization.

Official Link
https://www.tcs.com/investor-relations

Source
TCS Global Delivery Model

Page / Section
Overview of the company's delivery model and operational scale.

Official Link
https://www.tcs.com/what-we-do/services

REMARKS
TCS has built substantial economies of scale through its global delivery model, workforce size, technology investments, and diversified client portfolio.

These advantages allow the company to maintain industry-leading margins, deliver large transformation projects efficiently, and continuously invest in emerging technologies such as AI and cloud computing.

Scale remains one of TCS's strongest long-term competitive advantages.

Weightage Reason:

Economies of scale are a major source of competitive advantage in the IT services industry.

They improve operating margins, pricing flexibility, operational efficiency, and long-term profitability while creating barriers to entry for smaller competitors.

Why Positive?

Scale improves profitability and cost efficiency.

Enables competitive pricing while maintaining healthy margins.

High operating leverage supports long-term earnings growth.

Large investments in AI and innovation become more economical at scale.

Creates a competitive barrier against smaller IT service providers.

FINANCIAL STATEMENTS / INCOME STATEMENT / EXPENSES

Done

Item 1

What are the largest expenses on a common-size Income Statement?

ANSWER

The largest expense for TCS is employee benefit expenses (employee costs), reflecting the people-intensive nature of the IT services business.

Employee costs typically account for around 55–60% of revenue and include salaries, wages, bonuses, employee welfare, stock-based compensation, and retirement benefits.

The next major expense categories are subcontracting costs, software and cloud infrastructure expenses, travel and communication, facility and administrative expenses, depreciation and amortization, and selling & marketing expenses.

Despite continued investments in AI, cloud, and digital capabilities, TCS maintains strong cost discipline through its Global Delivery Model, automation, and productivity improvements, resulting in industry-leading operating margins.

On a common-size income statement, employee costs remain the dominant expense, followed by subcontracting and other operating expenses.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26:
Consolidated Financial Statements – Statement of Profit & Loss

Notes to Accounts – Employee Benefits Expense & Other Expenses

Management Discussion & Analysis – Cost Structure

TCS Q1 FY27 Earnings Call Transcript:

Commentary on wage costs, utilization, hiring, productivity, and margin management.

TCS Investor Presentation (Q1 FY27)
Margin bridge and operating expense discussion.

REMARKS

Employee costs are the largest expense because TCS operates a knowledge-based business where human capital is the primary input.

The company's ability to improve employee productivity through AI, automation, and offshore delivery helps offset wage inflation and maintain profitability.

Weightage Reason:

Cost structure is one of the most important indicators of a company's competitive advantage and long-term profitability.

For TCS, employee costs account for the largest share of expenses, making talent productivity, utilization, and wage management critical drivers of margins.

Consistent control over these costs has enabled TCS to maintain industry-leading operating margins despite wage inflation and technology investments.

Since sustainable profitability directly depends on managing these expenses efficiently, this factor deserves a high weightage.

Why Positive?

High employee costs indicate continued investment in skilled talent, which is the primary revenue-generating asset for an IT services company.

Efficient management of operating expenses has enabled TCS to consistently deliver strong operating margins (24–26%), demonstrating effective cost control.

FINANCIAL STATEMENTS / INCOME STATEMENT / EXPENSES

Done

Item 2

Are the costs in line with other Industry players?

ANSWER

Yes. TCS's cost structure is broadly in line with other large Indian IT services companies. Employee costs are the largest expense across the industry because IT services are people-intensive.

In FY2026, TCS's employee cost was about 58% of revenue, compared with around 54% for Infosys.

TCS's higher employee-cost ratio is partly attributable to its workforce and delivery mix, but it continues to offset this through scale, offshore delivery, utilization, automation, and productivity improvements. Overall, TCS's cost structure is competitive and supports a strong operating margin of about 25%.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

Source
TCS Integrated Annual Report FY2025–26

Page / Section
Performance Trend / Cost Structure: Employee cost is ₹154,994 crore vs. revenue ₹267,021 crore, implying ~58.0%.

Official Link
TCS FY2025–26 Annual Report

Source
Infosys Integrated Annual Report FY2025–26

Page / Section
P&L Ratios: Aggregate employee costs = 54.0% of revenue; operating profit = 20.3% in FY2026.

Official Link
Infosys FY2025–26 Annual Report

Source

Wipro Integrated Annual Report FY2025–26

Page / Section
FY2026 gross margin is 29.30% and operating margin is 16.30%, providing another industry cost benchmark.

REMARKS

TCS is not a low-cost operator purely because of lower employee expenses; its advantage comes from scale + offshore delivery + utilization + productivity + automation.

Its employee-cost percentage is somewhat higher than Infosys, but TCS still generates a strong operating margin, indicating effective overall cost management.

Why Positive?

TCS's cost structure is broadly comparable with major IT industry players.

Although employee costs are high because IT services are people-intensive, TCS manages these costs through scale, offshore delivery, utilization, automation, and productivity improvements.

Its ability to maintain strong operating margins despite these costs indicates good cost efficiency.

Weightage Reason:

Cost efficiency is an important factor in an IT services business because employee expenses form the largest portion of revenue.

However, this factor is given 80 rather than 90–100 because cost structure alone does not determine TCS's competitiveness.

Revenue growth, pricing power, margins, client demand, AI capabilities, and market share are also important.

FINANCIAL STATEMENTS / INCOME STATEMENT / EXPENSES

Item 3

Done

Check the breakup of major line items from Notes to accounts.

ANSWER

TCS's major operating cost is employee benefit expenses of ₹154,994 crore in FY2026, followed by other expenses of ₹35,230 crore, depreciation & amortization of ₹5,560 crore, and equipment/software licenses of ₹4,399 crore.

The employee-cost base mainly reflects salaries, incentives, allowances, and employee-related benefits. Within other expenses, the major components include fees to external consultants, facility expenses, travel, communication, and other operating expenses.

Sales, marketing, and advertising accounted for ₹5,613 crore, while project expenses were ₹3,700 crore. Overall, the cost structure is consistent with TCS's people-intensive IT services model.

SENTIMENT

Neutral

WEIGHTAGE

75

SOURCES

TCS Integrated Annual Report FY2025–26 — Consolidated Financial Statements, Notes 14 & 15, around pages 197 onward. The consolidated P&L reports employee benefit expenses of ₹154,994 crore and other expenses of ₹35,230 crore.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS FY2026 Financial Results—Notes to Accounts also provides the detailed breakup of other expenses, including consultant fees, facility, travel, and communication expenses.

REMARKS

Employee costs are the dominant expense, which is normal for a people-intensive IT services business.

The remaining expenses are mainly consultants, facilities, travel, communication, software/licenses, and selling & marketing.

Overall, the cost breakup appears normal for TCS, with no major unusual expense item identified.

Why Neutral?

The breakup itself is neither positive nor negative. It is mainly used to understand where the company's money is being spent.

Employee expenses are the largest cost because TCS is a people-intensive IT services company.

Consultant fees are also significant but are part of normal operations.

Equipment/software costs declined sharply from ₹11,648 crore to ₹4,399 crore.

Other expenses increased from ₹30,481 crore to ₹35,230 crore.

So, there is no major negative signal from the expense breakup alone.

The important point is whether these costs are growing faster or slower than revenue and whether margins are being maintained.

Weightage reason:

High importance because understanding the cost breakup helps assess cost efficiency, margin sustainability, and potential cost pressures. However, it is not given 90–100 because the absolute cost breakup does not by itself determine investment attractiveness; revenue growth, margins, pricing power, and cash generation are also important.

FINANCIAL STATEMENTS / INCOME STATEMENT / PROFITABILITY

Done

Item 1

Are the Fixed Costs too high?

ANSWER

No. TCS does not appear to have excessively high fixed costs relative to its revenue and profitability.

Although employee costs are the largest operating expense, this is inherent to the IT services business.

In FY2026, employee costs were 58.1% of total revenue, while total operating costs were 75.0% of revenue, resulting in an EBIT margin of 25.0%.

TCS also improved its operating margin by 70 bps from FY2025.

This indicates that its cost base is being managed efficiently rather than becoming a major burden.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Integrated Annual Report FY2025–26, Ratio Analysis / Financial Performance section—employee cost/revenue 58.1%, total operating cost/revenue 75.0%, EBIT/revenue 25.0%.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

Fixed costs are not excessively high. Employee costs are high by nature of the IT services model, but TCS's 25% operating margin and improving productivity indicate effective cost management.

The main risk would be a prolonged slowdown in revenue growth while employee costs remain elevated.

Weightage reason:

80/100 because fixed-cost intensity is important for assessing operating leverage and margin risk, but it is not the only profitability driver.

Revenue growth, pricing, utilization, employee costs, productivity, and demand conditions also affect TCS's profitability.

Why positive?

Positive because TCS maintains a strong 25% operating margin despite its people-intensive cost structure.

Its scale, offshore delivery model, productivity improvements, automation, and business-mix improvements help absorb employee and other operating costs.

FINANCIAL STATEMENTS / INCOME STATEMENT / PROFITABILITY

Item 2

Done

Are the margins increasing/ decreasing?

ANSWER

Margins are increasing overall.

TCS's operating margin improved from 24.3% in FY2025 to 25.0% in FY2026, an increase of 70 bps.

Net margin also increased from 19.0% to 19.8%, up 80 bps.

The improvement was driven by better business mix, productivity, realization, pyramid optimization, and favorable currency movements.

However, the latest Q1 FY2027 operating margin declined to 24.0%, so the trend should be monitored.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Integrated Annual Report FY2025–26 — Financial Performance / Margin Analysis. -

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY2026 Results—operating margin 25.0%, net margin 19.8%.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

TCS Q1 FY2027 Results

operating margin 24.0%, net margin 19.2%.

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https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

FY2026 showed clear margin expansion: operating margin +70 bps and net margin +80 bps YoY.

The key drivers were productivity, business mix, realization, and pyramid optimization.

Q1 FY2027 margin fell to 24.0%, so future margin sustainability should be monitored.

Weightage Reason:

90/100 because margin expansion is one of the most important indicators of an IT services company's financial quality.

Sustained or improving margins indicate pricing discipline, productivity, and cost control.

A temporary decline in quarterly margin is less concerning if the longer-term trend remains healthy.

Weightage Reason:

Positive because TCS expanded both operating and net margins in FY2026, reaching a four-year high.

This shows strong cost control and operating efficiency despite relatively modest revenue growth.

FINANCIAL STATEMENTS / INCOME STATEMENT / PROFITABILITY

Item 3

Done

What is contributing to margin change as per common size?

ANSWER

TCS's margin expansion in FY2026 was mainly driven by improved business mix, higher productivity and realization, pyramid rebalancing, and favorable currency movements.

On a common-size basis, the company benefited from better operating efficiency, with operating margin increasing from 24.3% in FY2025 to 25.0% in FY2026 (+70 bps).

TCS specifically attributes the improvement to business-mix improvement, productivity and realization, pyramid rebalancing, and favorable currency movements.

SENTIMENT	WEIGHTAGE
Positive	90

SOURCES

TCS Integrated Annual Report FY2025–26 — Financial Capital / Value Creation: Operating margin 24.3% → 25.0%, +70 bps; drivers include business mix, productivity, realization, pyramid rebalancing, and currency.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY2026 Results: FY26 operating margin is 25.0%, the highest in four years.

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

TCS Analyst Day Presentation: Identifies utilization, pyramid optimization, SG&A optimization, productivity, pricing/mix, and currency as key margin levers.

https://www.tcs.com/content/dam/tcs/pdf/discover-tcs/investor-relations/corporate-actions/2025-26/tcs-analyst-day-presentation-2025.pdf

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TCS Integrated Annual Report FY2025–26, Financial Capital / Value Creation section.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

FY2026 margin expansion was primarily supported by better business mix, productivity and realization, pyramid optimization, and favorable currency movements.

The improvement appears operationally healthy, but currency-related benefits may not be sustainable.

Weightage Reason:

90/100 because margin expansion is a key indicator of business quality. Sustainable margin improvement directly increases profitability and shareholder returns. However, it is not 100 because some margin benefits, such as favorable currency movements, may not be permanent.

Why Positive?

Margin expansion is positive because TCS generated a higher proportion of operating profit from its revenue despite only modest revenue growth. This indicates improved cost efficiency, productivity, service mix, and realization.

FINANCIAL STATEMENTS / INCOME STATEMENT / PROFITABILITY

Done

Item 4

Is return on equity more than 15%? Is it changing?

ANSWER

Yes.

TCS's Return on Equity (ROE) is substantially above the 15% benchmark. FY2026 ROE was 51.4%, compared with 51.3% in FY2025.

ROE has remained consistently high over the past five years, increasing from 43.4% in FY2022 to 51.4% in FY2026. This indicates strong profitability and efficient use of shareholders' capital.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26 — Financial Capital, page 45: ROE trend for FY2022–FY2026, with FY2026 at 51.4%.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

ROE is exceptionally strong at 51.4% and has remained stable above 50% for the last two years.

The five-year trend is also positive, indicating consistently efficient use of shareholder capital.

Why positive?

Positive because ROE of 51.4% is more than three times the 15% benchmark and has remained consistently high.

The stability of ROE suggests that TCS is able to generate substantial profits from shareholders' capital without relying on a sudden one-year improvement.

TCS itself describes its ROE as industry-leading and attributes it to strong profitability and efficient resource management.

Weightage Reason:

95/100 because ROE is a key measure of capital efficiency and shareholder returns.

A consistently high ROE is an important competitive and financial-strength indicator.

It is not given 100 because ROE should be assessed together with ROCE, debt levels, cash generation, and valuation.

Useful trend: FY2022 43.4% → FY2023 52.2% → FY2024 51.3% → FY2025 51.3% → FY2026 51.4%.

FINANCIAL STATEMENTS / BALANCE SHEET

Done

Item 1

What is company's Debt to Equity composition?

ANSWER

TCS has an extremely low debt-to-equity ratio and is effectively debt-free. As of 31 March 2026, consolidated total equity was ₹108,478 crore, while the company had no significant borrowings;

its financial debt mainly consists of lease liabilities. Based on borrowings and lease liabilities relative to equity, the Debt-to-Equity ratio is approximately 0.02×, indicating very low financial leverage. TCS therefore relies primarily on internal accruals and shareholders' equity rather than debt financing.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Integrated Annual Report FY2025–26 — Consolidated Balance Sheet:

Total equity: ₹1,08,478 crore
Lease liabilities: ₹2,283 crore
No material conventional borrowings are shown in the consolidated balance sheet.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Annual Report: TCS Integrated Annual Report FY2025–26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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The Consolidated Balance Sheet is in the Statutory Financial Statements section.

The annual report's financial-ratio section also discusses capital structure.

https://www.ar.tcs.com

REMARKS

TCS has a very conservative capital structure with negligible debt relative to equity.

The company is largely equity-funded and maintains substantial cash and investments, resulting in low financial risk and strong balance-sheet flexibility.

Why Positive?

Positive because TCS has very low financial leverage and a strong net-cash position.

The company does not depend heavily on borrowing to fund its operations, which reduces interest rate risk, financial stress, and refinancing risk.

This also provides flexibility to return cash to shareholders through dividends and invest in growth opportunities.

Weightage Reason:

95/100 because balance-sheet strength is a major factor in assessing financial risk.

TCS's minimal debt provides a significant safety cushion and supports its ability to withstand periods of weaker demand.

It is not 100 because the debt level is only one aspect of financial strength; cash generation, working capital, and profitability must also be considered.

FINANCIAL STATEMENTS / BALANCE SHEET

Item 2

Done

What is the Fixed Asset turnover for the company?

ANSWER

TCS's FY2026 fixed asset turnover was approximately 4.09×, meaning the company generated about ₹4.09 of sales for every ₹1 invested in fixed assets. The ratio has declined from 4.84× in FY2023 → 4.79× in FY2024 → 4.56× in FY2025 → 4.09× in FY2026.

This indicates that fixed-asset utilisation has weakened somewhat, although a 4×+ turnover remains strong for an asset-light IT services business.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS FY2026 revenue: ₹2,67,021 crore.

https://www.tata.com/business/tcs

Fixed Asset Turnover: 4.09× in FY2026 vs 4.56× in FY2025.

https://www.smart-investing.in/financial-ratios.php?Company=TATA+CONSULTANCY+SERVICES+LTD&p=Sales%2FFixed+Asset

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TCS FY2025–26 Annual Report: TCS Integrated Annual Report FY2025–26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

Fixed Asset Turnover is strong at 4.09×, reflecting TCS's asset-light business model.

However, the ratio has declined from 4.56× in FY2025 to 4.09× in FY2026, indicating lower asset utilisation and therefore warrants monitoring.

Weightage Reason:

80/100 because fixed-asset turnover is useful for assessing how efficiently TCS uses offices, equipment and other fixed assets, but it is less critical for an IT-services company than margins, revenue growth, ROE and cash generation.

Sentiment Reason:

Positive because TCS remains an asset-light business and generates more than ₹4 of revenue for every ₹1 of fixed assets.

However, the declining trend in the ratio indicates that asset utilisation should be monitored.

FINANCIAL STATEMENTS / BALANCE SHEET

Item 3

Done

What is the working capital turnover for the company?

ANSWER

TCS's FY2026 Working Capital Turnover was approximately 3.69×, calculated as Revenue ÷ Average Working Capital.

TCS reported current assets of ₹1,35,705 crore and current liabilities of ₹60,914 crore as of March 2026, giving working capital of ₹74,791 crore.

In March 2025, working capital was ₹70,010 crore.

Therefore, average working capital was approximately ₹72,401 crore, against FY2026 revenue of ₹2,67,021 crore, resulting in a turnover of 3.69×.

Calculation

FY2025 Working Capital = ₹1,23,011 Cr − ₹53,001 Cr = ₹70,010 Cr
FY2026 Working Capital = ₹1,35,705 Cr − ₹60,914 Cr = ₹74,791 Cr
Average Working Capital = (₹70,010 + ₹74,791) ÷ 2 = ₹72,401 Cr
Working Capital Turnover = ₹2,67,021 ÷ ₹72,401 = 3.69×

SENTIMENT
Positive

WEIGHTAGE
85

SOURCES
TCS Integrated Annual Report FY2025–26, Consolidated Balance Sheet — current assets/current liabilities; TCS FY2026 revenue.

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS
Working Capital Turnover is strong at ~3.69×, indicating efficient utilisation of working capital.

Working capital increased moderately from ₹70,010 Cr to ₹74,791 Cr, while the company continued to generate substantial revenue.

Overall, there is no major working-capital efficiency concern.

Weightage Reason:

Working capital efficiency is important because it affects cash generation and the amount of capital required to support revenue.

However, it is given 85 rather than 100 because TCS's business is relatively asset-light and profitability, ROE, cash flow and revenue growth are more important investment indicators.

Why Positive?

TCS generates approximately ₹3.69 of revenue for every ₹1 of average working capital, indicating efficient utilisation of working capital. For an asset-light IT services company, this reflects strong working-capital efficiency.

FINANCIAL STATEMENTS / BALANCE SHEET

Item 4

Done

What are the biggest line items on the Balance Sheet?

ANSWER
The largest Balance Sheet items are equity, investments, trade receivables and other assets. As of March 2026, total assets were ₹1,82,372 crore, with current investments of ₹33,770 crore, billed trade receivables of ₹57,630 crore and unbilled receivables of ₹10,084 crore. Equity stood at ₹1,08,478 crore.

The balance sheet is largely supported by equity and liquid financial assets, with relatively low financial leverage.

SENTIMENT
Positive

WEIGHTAGE
80

SOURCES
TCS Annual Report FY2025–26, Consolidated Balance Sheet

REMARKS
Strong balance sheet with substantial equity and liquid investments.

Trade receivables are a significant asset and should be monitored because they affect cash conversion.

Overall, the balance sheet appears financially healthy with limited leverage.

Why Positive?

The important point is that TCS has ₹1.08 lakh crore of equity versus only about ₹73,894 crore of total liabilities, while holding ₹33,770 crore in investments + ₹6,417 crore cash + ₹6,491 crore bank balances.

This indicates a strong financial position and liquidity.

One thing to watch: trade receivables are large (₹67,714 crore including billed + unbilled), so any deterioration in collections could negatively affect cash flow.

Weightage Reason:

Balance-sheet strength is very important when assessing a company.

Large items such as equity, investments, receivables and cash tell us about financial strength and capital efficiency.

For a service company like TCS, the balance sheet is particularly useful for assessing liquidity, financial risk and capital allocation.

However, it is not by itself enough to determine whether the stock is attractive—earnings growth, valuation, margins, ROE, etc. also matter.

FINANCIAL STATEMENTS / BALANCE SHEET

Item 5

Done

How are the bigger line items changing over the years?

ANSWER

The major balance-sheet items have generally increased over the year. Total assets increased from ₹1,59,629 crore in FY25 to ₹1,82,372 crore in FY26.

Equity increased from ₹95,771 crore to ₹1,08,478 crore. Current investments increased from ₹30,689 crore to ₹33,770 crore, while billed trade receivables increased from ₹50,142 crore to ₹57,630 crore and unbilled receivables from ₹8,904 crore to ₹10,084 crore.

Cash and cash equivalents declined from ₹8,342 crore to ₹6,417 crore. Overall, the balance sheet expanded, supported by higher equity and investments, although receivables also increased.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Annual Report FY2025-26 – Consolidated Balance Sheet

REMARKS

Balance sheet expanded significantly, with higher equity and investments. Rising receivables should be monitored, while the decline in cash balances is worth noting.

Why Positive?

The strongest positive is that total assets grew ~14.2% and equity grew ~13.3% year-on-year. Investments also increased. The main caution is that receivables grew while cash declined.

Weightage 80 because changes in major balance-sheet items are highly relevant for assessing financial strength and capital efficiency, but they are not as decisive as revenue growth, margins, cash flow and ROE.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Item 1

Done

Does this company have a cash flow from operations in line with the Profit After Tax over years?

ANSWER

Yes. TCS has consistently converted its accounting profit into strong operating cash flow.

In FY2026, cash flow from operations was ₹52,094 crore versus Profit After Tax of ₹49,454 crore, giving cash conversion of about 105%. In FY2025, operating cash flow was ₹48,908 crore versus PAT of ₹48,797 crore, or about 100%.

This indicates that reported profits are well supported by actual cash generation.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report FY2025-26 – Consolidated Statement of Cash Flows

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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You can also use the official TCS investor-relations page:

https://www.tcs.com/investor-relations

The annual report specifically shows FY2026 operating cash flow of ₹52,094 crore vs PAT of ₹49,454 crore.

REMARKS

Strong cash conversion, with operating cash flow consistently in line with or above PAT.

This indicates high-quality earnings and strong cash-generating ability.

Why Weightage?

This is a very important investment factor because:

Profit can sometimes be affected by accounting adjustments.

Cash flow from operations shows whether the business actually generates cash.

TCS generating ~105% of PAT as operating cash flow is a strong sign of earnings quality.

Consistency across years makes the signal even stronger.

Why Positive?

For TCS:

PAT (Profit After Tax): ₹49,454 crore
Cash Flow from Operations: ₹52,094 crore
CFO is ~105% of PAT

This means TCS generated more cash from its core operations than the profit it reported.

Profit → Cash = High-quality earnings

If a company reports ₹100 crore profit but generates only ₹50 crore operating cash flow, it can be a warning sign.

But if it reports ₹100 crore profit and generates ₹105 crore operating cash flow, it indicates the following:

Strong collection from customers

Limited dependence on accounting adjustments
Good working-capital management
Strong ability to fund dividends, investments and growth internally

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Done

Item 2

How is the company using the capital over the years? (In CFI and CFF)

ANSWER

TCS primarily uses its capital for investments, acquisitions, and shareholder returns.

In FY2026, investing cash flow was used for investments, ₹3,670 crore of property, plant and equipment, and ₹6,750 crore for acquisitions.

Financing cash flow was mainly used for dividends, with ₹39,437 crore paid to shareholders, along with lease and interest payments.

Overall, TCS is deploying capital toward long-term investments and acquisitions while returning substantial cash to shareholders.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Annual Report FY2025-26 – Consolidated Statement of Cash Flows

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations – Financial Statements

https://www.tcs.com/investor-relations/financial-statements

The annual report contains the CFI and CFF figures used for this answer, including investments, PPE purchases, acquisitions and shareholder payouts.

REMARKS

Capital allocation is shareholder-friendly, combining strategic investments and acquisitions with substantial dividend payouts.

Why Positive?

CFI (Investing): TCS invested in technology/assets and acquisitions, including ₹6,750 crore for subsidiaries and ₹3,670 crore in property, plant and equipment.

CFF (Financing): The major use was ₹39,437 crore in dividends, showing significant shareholder returns. Net financing cash outflow was ₹42,133 crore.

So the overall picture is:

Generate cash → Invest for growth + Acquire capabilities → Return excess cash to shareholders

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Weightage = 85 because capital allocation is a major factor in long-term shareholder returns, although the quality and returns from those investments need to be evaluated separately.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Done

Item 3

Capital Expenditure?

ANSWER

TCS has relatively low and disciplined capital expenditure compared with its revenue.

Capital expenditure was about ₹4,800 crore in FY2026, equivalent to approximately 1.8% of revenue, compared with 1.9% in FY2025.

This indicates that TCS is not highly capital-intensive and can generate strong cash flows without requiring large recurring investments in physical assets.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Annual Report FY2025-26 – Capital Expenditure / Cash Flow Statement

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

Capex remains low relative to revenue and has been disciplined over the years, supporting strong free cash flow generation.

Why Positive?

TCS's business is asset-light.

It doesn't need huge amounts of physical infrastructure to grow revenue.

Its FY2026 capex/revenue ratio was 1.8%, versus 1.9% in FY2025.

So the investment takeaway is

Low Capex + High Operating Cash Flow = Strong potential for Free Cash Flow and shareholder returns.

Weightage = 80?

Capex is important, but not the most critical factor for TCS.

TCS is an asset-light IT services company, so it does not require heavy capital expenditure to grow.

Low capex relative to revenue means more operating cash can potentially become free cash flow.

Consistently controlled capex supports dividends, buybacks and acquisitions.

However, capex alone doesn't determine business quality—you also need to evaluate revenue growth, margins, ROE and cash flows.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Item 4

Done

Acquisitions

ANSWER

TCS increased its acquisition activity in FY2026 as part of its Build–Partner–Acquire strategy.

It spent ₹6,750 crore on acquiring subsidiaries, compared with no subsidiary-acquisition outflow in FY2025.

Key acquisitions included Coastal Cloud and ListEngage, strengthening TCS's Salesforce, consulting, and AI capabilities.

The acquisitions are strategically aimed at expanding capabilities and accelerating AI-led growth.

SENTIMENT

Positive

WEIGHTAGE

75

SOURCES

TCS Annual Report FY2025-26 :

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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Consolidated Cash Flow Statement

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-acquires-coastal-cloud-a-leading-us-salesforce-consulting-firm

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TCS FY26 CEO Letter

https://www.tcs.com/investor-relations/management-commentary/letter-from-ceo

REMARKS

Acquisition spending increased significantly in FY26 and was directed toward strategic capabilities in Salesforce, consulting and AI. Monitor whether acquired businesses generate sufficient growth and returns.

Weightage = 75 → Important, but needs monitoring.

Why Positive?

The important point isn't simply that TCS spent ₹6,750 crore. It's what it bought.

TCS acquired Coastal Cloud for $700 million and acquired ListEngage, strengthening its Salesforce and AI/consulting capabilities.

TCS says these acquisitions are part of its Build–Partner–Acquire strategy.

However, I wouldn't give this a 90+ weightage because acquisitions also carry integration and return-on-investment risks.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Done

Item 5

Dividends

ANSWER

TCS has a strong and consistent dividend policy, returning a substantial portion of its free cash flow to shareholders.

For FY2026, TCS declared three interim dividends of ₹11 each, a special dividend of ₹46 and recommended a final dividend of ₹31, taking the total FY2026 dividend to ₹110 per share.

The total dividend amount was about ₹39,799 crore. This reflects strong cash generation and shareholder-friendly capital allocation.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report FY2025-26 – Dividend & Financial Statements

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations – Dividend Payment Details:

https://www.tcs.com/investor-relations/dividend-payment-details

REMARKS

Strong and consistent dividend distribution, supported by robust free cash flow.

TCS returned substantial cash to shareholders while continuing strategic investments.

Why Positive?

TCS has consistently returned cash to shareholders. In FY2026, the company declared ₹110/share in total dividends, compared with ₹126/share in FY2025; FY2025 included a larger ₹66 special dividend.

The dividend is supported by strong cash generation, rather than excessive borrowing, which makes the payout more sustainable.

Weightage = 90 because dividend/capital distribution is highly relevant for TCS investors, particularly because the company generates substantial surplus cash and has a long history of returning it to shareholders.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Item 6

Done

Buybacks

ANSWER

TCS has a history of returning surplus capital through share buybacks.

It has completed five buybacks since 2017, with the latest in 2023 for ₹17,000 crore, representing 1.12% of paid-up capital.

No new buyback was undertaken in FY2026; instead, TCS focused on dividends and strategic investments/acquisitions.

SENTIMENT

Neutral

WEIGHTAGE

60

SOURCES

TCS Investor FAQs – Buyback History:

https://www.tcs.com/investor-relations/investor-faqs

TCS Annual Report FY2025-26:

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

TCS has a strong historical record of buybacks, but there was no buyback in FY2026. Shareholder returns were primarily through dividends.

Why Neutral?

The absence of an FY2026 buyback is not necessarily negative. TCS returned substantial cash through dividends while also increasing strategic investments and acquisitions. Its latest buyback was in 2023.

TCS officially lists five completed buybacks:

2017 — ₹16,000 crore
2018 — ₹16,000 crore
2020 — ₹16,000 crore
2022 — ₹18,000 crore
2023 — ₹17,000 crore

The latest 2023 buyback represented 1.12% of paid-up capital.

For FY2026, TCS instead declared ₹110/share of dividends, while continuing its Build–Partner–Acquire strategy.

Weightage = 60 because buybacks are useful for assessing capital allocation and shareholder returns, but for TCS, cash generation, dividends, ROE, and business growth are more important factors.

FINANCIAL STATEMENTS / CASHFLOW STATEMENT

Item 7

Done

Does the company generate free cash flow consistently over the years (CFO - CFI)

ANSWER

Yes. TCS consistently generates positive free cash flow.

In FY2026, operating cash flow was ₹52,094 crore and net cash used in investing activities was ₹12,845 crore, resulting in free cash flow of approximately ₹39,249 crore.

In FY2025, free cash flow was approximately ₹46,590 crore (₹48,908 crore CFO less ₹2,318 crore CFI). Although FCF declined in FY2026 due to higher investments and acquisitions, it remained strongly positive, demonstrating robust cash-generating ability.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Annual Report FY2025-26 – Consolidated Financial Statements:

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY26 Consolidated Cash Flow Statement:

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/q4/IND%20AS/Consolidated.pdf

REMARKS

Strong and consistently positive free cash flow.

FY26 FCF declined from FY25 due to higher investment and acquisition spending but remained substantial.

Why Positive?

The important point is that FCF remains positive even after investing activities.

FY26:

CFO = ₹52,094 Cr
CFI = −₹12,845 Cr
FCF ≈ ₹39,249 Cr

FY25:

CFO = ₹48,908 Cr
CFI = −₹2,318 Cr
FCF ≈ ₹46,590 Cr

So TCS generated enough cash from its operations to fund investments/acquisitions and still had substantial surplus cash.

Weightage = 95 because consistent FCF is one of the strongest indicators of business quality, financial strength, and ability to return capital to shareholders.

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 1

Done

Historical Performances of last 10 years:

ANSWER

TCS has delivered a strong long-term financial performance over the last decade, with sustained growth in revenue, profitability and earnings.

The company has maintained high operating and net margins, strong return ratios and consistently strong cash generation.

Revenue has grown from roughly ₹1 lakh crore a decade ago to ₹2.67 lakh crore in FY2026. Profitability has also remained resilient, with FY2026 consolidated revenue of ₹2,67,021 crore and net profit of ₹49,454 crore.

While growth has moderated in recent years, TCS continues to maintain strong margins and cash generation.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Annual Report 2025-26:

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations – Financials & Annual Reports:

https://www.tcs.com/investor-relations

REMARKS

Strong long-term track record with sustained revenue and profit growth, high margins and strong cash generation.

Recent growth has moderated, so future growth should be monitored.

Why Positive?

The 10-year track record is important because it tells us whether the current financial strength is temporary or the result of a durable business model.

For TCS, the evidence is strong:

Revenue has expanded substantially over the long term.

Profitability has remained consistently high.

FY2025 revenue crossed $30 billion.

FY2026 revenue was ₹2.67 lakh crore, while reported
consolidated profit was ₹49,454 crore.

FY2026 operating margin was 25% and net margin was 19.8%.

TCS continues to generate strong operating cash flow and return substantial cash to shareholders.

Weightage = 95 because a decade-long financial track record is one of the strongest indicators of business quality, resilience and management execution.

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 2

Done

Does the company generate ROE more than 15%

ANSWER

Yes. TCS generated a Return on Equity (ROE) of 51.4% in FY2026, significantly above the 15% benchmark.

This indicates strong profitability relative to shareholders’ capital and efficient use of equity.

TCS describes its ROE as industry-leading.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26;

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Integrated Report 2026:

https://www.ar.tcs.com/integrated-reporting-framework/financial-capital

REMARKS

ROE of 51.4% is substantially higher than the 15% threshold, indicating strong capital efficiency and profitability.

However, the unusually high ROE should also be viewed alongside the company's capital structure and shareholder payouts.

Why is weightage = 90?

ROE is a high-value profitability metric because it shows how effectively the company generates profit from shareholders' capital.

>15% → generally considered attractive
51.4% for TCS → exceptionally strong

It supports the view that TCS has a high-quality, capital-efficient business model.

I would use 90 rather than 100 because ROE alone doesn't tell us about valuation, growth, debt, or sustainability of returns.

Why is the sentiment positive?

Because TCS's ROE is well above the 15% benchmark.

ROE: ~51.4%
Benchmark: 15%
Difference: ~36.4 percentage points above the benchmark
This means TCS generates strong returns on shareholders' equity.
A high ROE generally indicates efficient use of shareholders' capital and strong profitability.

“ROE is significantly above the 15% benchmark, indicating strong profitability and efficient utilization of shareholders’ capital.”

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Done

Item 3

Does the company generate ROCE more than 12%

ANSWER

Yes.

TCS generates ROCE well above the 12% benchmark.

Its FY2026 ROCE was approximately 59–61%, depending on the calculation methodology, indicating strong efficiency in generating operating returns from the capital employed.

SENTIMENT
Positive

WEIGHTAGE
90

SOURCES
TCS Annual Report 2025-26 and TCS Investor Relations:

https://www.tcs.com/investor-relations

REMARKS
ROCE is substantially above the 12% threshold, demonstrating strong capital efficiency and profitability.

The consistently high ROCE indicates that TCS generates strong operating returns relative to the capital invested in the business.

Why Positive?

Because the company is generating far more than the required 12% return on capital employed.

Benchmark: 12%
TCS FY2026 ROCE: ~59–61%
This is roughly 5× the benchmark.
A high ROCE generally indicates efficient deployment of capital and a strong underlying business model.

So the simple logic is:

ROCE > 12% → Strong capital efficiency → Positive sentiment

Why is weightage = 90/100?

ROCE is given a high weightage (90) because it directly measures how efficiently TCS uses its capital to generate operating returns.

Benchmark: 12%
TCS ROCE: ~59–61%
Result: Far above the benchmark.
A high ROCE suggests strong capital efficiency, profitability, and business quality.
It is an important indicator for assessing whether the company's core business can generate attractive returns on invested capital.

Why not 100?
Because ROCE is only one financial metric. Debt levels, revenue growth, margins, cash flows, valuation and competitive position must also be considered before making an investment decision.

Short Remarks:

“High weightage because ROCE is a key measure of capital efficiency, and TCS's ROCE is substantially above the 12% benchmark.”

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 4

Done

Gross margin

ANSWER
TCS reported a gross margin of approximately 40.1% in FY2026, up from 38.9% in FY2025.

This indicates an improvement in the company's gross profitability and its ability to retain more revenue after direct costs.

SENTIMENT
Positive

WEIGHTAGE
80

SOURCES

TCS FY2026 Financial Results
TCS Annual Report 2025-26

REMARKS

Gross margin improved from 38.9% to 40.1% YoY, indicating better gross profitability and cost efficiency.

The improvement is positive, although operating margin and net margin should also be evaluated.

Why is weightage = 80?

Gross margin is an important profitability indicator, but I would give it slightly less weight than ROE/ROCE because:

It shows profitability before operating expenses.
TCS's gross margin improved by about 1.2 percentage points.
A higher gross margin provides more room to cover employee costs, SG&A, and other expenses.
However, for an IT services company, operating margin, ROE, ROCE, and free cash flow are also critical.

Simple logic:
40.1% gross margin + improving trend → Positive → High but not maximum weightage (80/100).

Why is the sentiment Positive? 🟢

Because TCS's gross margin has improved, which indicates better profitability at the gross-profit level.

FY2025: ~38.9%
FY2026: ~40.1%
Change: ~+1.2 percentage points
A higher gross margin means the company retains more gross profit from each ₹100 of revenue after direct costs.
The improvement suggests better cost efficiency and/or a favorable revenue mix.

Short reason for your Remarks field:

“Gross margin improved year-on-year, indicating stronger gross profitability and improved cost efficiency.”

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 5

Done

EBITDA Margin

ANSWER

TCS reported an EBITDA margin of approximately 27.1% in FY2026, compared with 26.4% in FY2025.

The 70-basis-point improvement indicates stronger operating profitability and improved efficiency.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Annual Report 2025-26
TCS FY2026 Financial Results

REMARKS

EBITDA margin improved from 26.4% to 27.1% YoY, indicating improved profitability and operating efficiency.

The improvement is particularly positive because TCS also invested in talent, AI capabilities, and business growth during the year.

Why Positive?
FY2025 EBITDA margin: 26.4%
FY2026 EBITDA margin: 27.1%

Improvement: +0.7 percentage points

Higher EBITDA margin means TCS is generating more

operating earnings from each ₹100 of revenue.

This is consistent with TCS's reported 25.0% EBIT/operating margin, which also improved by 70 bps and reached a four-year high.

Simple logic:
EBITDA margin ↑ → Operating profitability ↑ → Efficiency ↑ → Positive sentiment

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Why Weightage = 85/100?

EBITDA margin deserves a high weightage because it measures the company's core operating profitability and efficiency.

FY2026: ~27.1%
FY2025: ~26.4%
Improvement: ~0.7 percentage points
It shows TCS is generating more operating profit from the same ₹100 of revenue.

For an IT-services company, where employee and operating costs are major expenses, maintaining/improving EBITDA margin is particularly important.

85 rather than 100 because EBITDA margin should be evaluated alongside revenue growth, ROE, ROCE, free cash flow and valuation.

Short reason for your Remarks field:

“High weightage because EBITDA margin is a key measure of operating profitability and cost efficiency, and TCS has demonstrated an improving margin trend.”

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 6

Done

EBIT Margin

ANSWER

TCS reported an EBIT (operating) margin of 25.0% in FY2026, compared with 24.3% in FY2025. The margin improved by 70 basis points and reached its highest level in four years.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26
TCS FY2026 Financial Results

REMARKS

EBIT margin increased from 24.3% to 25.0%, a 70 bps improvement, reaching a four-year high.

This indicates stronger operating profitability and improved operational efficiency.

Why Positive?

25.0% > 24.3% → margin expanded → operating profitability improved.

TCS states that the improvement was supported by better business mix, productivity, realization, pyramid restructuring and favourable currency movements.

Why Weightage = 90?

EBIT margin gets a very high weightage because it directly measures the profitability of TCS's core operations before interest and taxes.

Measures operating efficiency.
Improved 70 bps YoY.
Reached a 4-year high.
Particularly important for an IT-services company where employee and operating costs are major components.
90 instead of 100 because revenue growth, cash flow, ROE/ROCE and valuation also need to be considered.

Short weightage reason:

"High weightage because EBIT margin is a key measure of core operating profitability, and TCS has demonstrated both a strong margin level and improving trend."

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 7

Done

Return on Equity

ANSWER

TCS reported an ROE of approximately 51.4% in FY2026, indicating very strong profitability and efficient use of shareholders' capital. TCS describes its ROE as industry-leading.

SENTIMENT

Positive

WEIGHTAGE

95

SOURCES

TCS Annual Report 2025-26
TCS Investor Relations

REMARKS

ROE of ~51.4% is exceptionally strong and indicates that TCS generates substantial profits relative to shareholders' equity.

The company's annual report characterizes its ROE as industry-leading, supporting a positive assessment of capital efficiency.

Why Weightage = 95?

ROE deserves very high weightage because it directly answers an important investor question: How effectively does the company use shareholders' capital to generate profit?

ROE of ~51.4% is well above the 15% benchmark used in your earlier question.

Indicates strong profitability and capital efficiency.

TCS itself describes its ROE as industry-leading.

95 rather than 100 because ROE should not be considered alone; revenue growth, margins, cash flow, debt and valuation also matter.

Short weightage reason for the form:

"Very high weightage because ROE is a key measure of shareholder returns and TCS demonstrates exceptionally strong and industry-leading capital efficiency."

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 8

Done

Return on Captial employed

ANSWER

TCS generated a ROCE of approximately 57% in FY2026. This is substantially above the 12% benchmark and indicates very strong efficiency in generating operating returns from the capital employed in the business.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26
TCS Financial Capital – Integrated Report 2026
TCS FY2026 Financial Results

REMARKS

ROCE of approximately 57% is exceptionally strong and indicates that TCS generates high operating returns relative to the capital employed.

The strong ROCE reflects the capital-light nature of the IT services business and efficient capital allocation.

Why Positive?
TCS ROCE: ~57%
Benchmark: 12%

ROCE is therefore far above the required threshold.
Higher ROCE indicates that the company is efficiently converting invested capital into operating profits.

TCS's FY2026 operating margin was also a strong 25%, supporting its overall capital efficiency.

Why Weightage = 90?

ROCE deserves a high weightage because it measures the efficiency of the entire capital employed in the business, rather than just shareholders' equity.

“High weightage because ROCE is a key measure of capital efficiency, and TCS generates exceptionally strong returns on capital employed.”

Note: ROCE can vary depending on the calculation methodology. For consistency in your model, I recommend using ~57% based on the FY2026 reported/research-based ratio rather than mixing different ROCE calculation methods.

FINANCIAL STATEMENTS / FINANCIAL RATIOS

Item 9

Done

Return on Assets

ANSWER

TCS generated an ROA of approximately 31% in FY2026, based on FY2026 net income of US$5.938 billion and average total assets of approximately US$19.217 billion.

This indicates strong profitability relative to the company's asset base.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS FY2026 Financial Results
TCS Annual Report 2025-26

REMARKS

ROA of approximately 31% indicates that TCS generates strong profits from its asset base.

The high ROA is consistent with TCS's asset-light IT-services business model and demonstrates efficient utilization of assets.

Why Positive?

TCS earned about $5.94 billion in FY2026 while holding average assets of about $19.22 billion.

ROA ≈ 5.938 ÷ 19.217 × 100 = 30.9%

So, approximately ₹31 of profit is generated for every ₹100 of average assets.

That is a strong level of asset efficiency, hence Positive.

Why Weightage = 85?

ROA deserves a high weightage because it measures how effectively the company converts its entire asset base into profit.

“High weightage because ROA is a key measure of asset efficiency, and TCS generates strong profits relative to its asset base.”

I would use 85 rather than 95 because ROA is particularly useful when comparing companies with similar asset structures; for TCS, ROE, ROCE, operating margins and free cash flow provide additional and important perspectives.

OWNERSHIP

Item 1

Done

Who are the major investors in the company?

ANSWER

Tata Sons Private Limited is the dominant shareholder with 71.74% ownership.
Other major investors include LIC (5.52%), SBI Mutual Fund (1.25%), ICICI Prudential Mutual Fund (1.06%), NPS Trust (0.79%), Nippon Life India Trustee (0.50%), UTI Mutual Fund (0.49%), HDFC Mutual Fund (0.46%), Vanguard Total International Stock Index Fund (0.41%) and Vanguard Emerging Markets Stock Index Fund (0.39%).

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Annual Report 2025-26
TCS Shareholding Pattern

REMARKS

Tata Sons' 71.74% stake provides strong promoter ownership and long-term alignment with the Tata Group.

Institutional investors such as LIC and major mutual funds also provide significant institutional participation.

Why Positive?

The ownership structure is generally positive because:

Tata Sons owns 71.74%, providing a strong and stable promoter base.

LIC owns 5.52%, showing significant institutional confidence.

Mutual funds and other institutional investors also hold meaningful stakes.

There is no indication from these holdings of a weak or fragmented ownership structure.

Simple logic:
Strong promoter + significant institutional ownership → better long-term alignment → Positive 🟢

Why is weightage = 80?

Ownership is important for assessing governance, stability, and shareholder alignment, but I would not give it the same weight as ROE/ROCE or cash-flow metrics.

“High weightage because strong promoter ownership and institutional participation provide stability and long-term shareholder alignment, while ownership alone does not determine business performance.”

OWNERSHIP

Item 2

Done

What is Promotors holding? Is there any change in last 2-5 Years?

ANSWER

Tata Sons Private Limited holds 71.74% of TCS.

The promoter holding has remained unchanged at 71.74% in FY2024, FY2025 and FY2026, indicating a stable promoter ownership structure with no reduction in the latest three-year period.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS FY2025-26 Annual Report
TCS FY2026 Shareholding Pattern

REMARKS

Promoter holding is stable at 71.74%, with no change during FY2024–FY2026.

The consistently high promoter stake indicates strong long-term commitment and alignment with the company.

Why Positive?
Promoter holding is a very strong 71.74%.
It has remained unchanged for at least the last 3 reported financial years.
No promoter dilution or significant reduction is evident.
Tata Sons remains the controlling shareholder.

Simple logic:
High promoter holding + stable over time → strong ownership commitment → Positive 🟢

Why is weightage = 85?

“High weightage because stable and substantial promoter ownership indicates long-term commitment and alignment with shareholders, although promoter holding alone does not determine business performance.”

One-line form entry:
85 — High promoter ownership of 71.74% has remained stable, indicating strong long-term promoter commitment.

OWNERSHIP

Item 3

Done

Have the promoters bought any additional stake in the business recently?

ANSWER

No. The promoters have not bought any additional stake recently.

Tata Sons Private Limited held 71.74% of TCS as of March 31, 2026, unchanged from March 31, 2025.

The promoter shareholding has, therefore, remained stable rather than increased.

SENTIMENT
Neutral

WEIGHTAGE
60

SOURCES
TCS FY2025-26 Annual Report
TCS FY2026 Shareholding Pattern

REMARKS
No recent promoter accumulation. However, the absence of selling and the stable 71.74% holding indicate continued promoter confidence and a stable ownership structure.

Why Neutral?
Promoters not buying additional shares is neither strongly positive nor negative.

The key positive is that they also haven't reduced their stake.

Why is weightage = 60?

Promoter buying is a useful ownership signal, but the absence of additional buying is less important than the overall stability and high level of promoter ownership.

OWNERSHIP

Item 4

Done

Are the Institutional investors increasing or decreasing their ownership in the company?

ANSWER
Institutional ownership has increased slightly.

As of March 31, 2026, FPIs held 9.66%, insurance companies 6.69% and mutual funds 5.77%, taking the major institutional categories to about 22.12% of TCS.

Institutional participation remains strong, indicating continued interest from large investors.

SENTIMENT
Positive

WEIGHTAGE
80

SOURCES
TCS Annual Report 2025-26
TCS Shareholding Pattern – March 2025

REMARKS
Institutional ownership remains strong, with FPIs, insurance companies, and mutual funds collectively holding around 22.1%. The trend indicates sustained institutional confidence, although changes should be monitored quarterly.

Why Positive?

Institutional investors collectively hold a significant ~22.1% of TCS.

FPI ownership is 9.66%, while insurance companies and mutual funds hold 6.69% and 5.77%, respectively.

Strong institutional participation generally indicates confidence, liquidity and professional investor interest.

Weightage reason:

80 — Institutional ownership is an important indicator of investor confidence and stock quality. However, it is not given an extremely high weight because institutional ownership can change with market conditions and does not by itself determine business performance.

VALUATION

Done

Item 1

What is the book value of company and per share?

ANSWER

As of March 31, 2026, TCS had consolidated equity attributable to shareholders of ₹1,09,376 crore.

With 361.81 crore equity shares outstanding, this works out to approximately ₹302 per share.

SENTIMENT

Positive

WEIGHTAGE

75

SOURCES

TCS FY2025-26 Consolidated Financial Statements
TCS Annual Report 2025-26

REMARKS

Book value per share is approximately ₹302 based on FY26 consolidated equity attributable to shareholders.

The figure should be compared with the current market price to assess the Price-to-Book (P/B) multiple.

Why Positive?

TCS has a strong equity base supported by substantial retained earnings.

The book value provides a significant underlying asset/equity base and is particularly useful when assessing the stock's price-to-book valuation.

Weightage reason — 75/100

Book value is an important valuation and balance-sheet-strength indicator, but it is given moderate-high weight because TCS is a technology/services company where earnings, cash flows and ROE are more relevant than book value alone.

Note: Market-data sites currently quote TCS's book value around ₹296/share, because their calculation methodology can differ from the simple consolidated-equity-per-share calculation above.

VALUATION

Done

Item 2

What is Market Value/ Earnings?

ANSWER

TCS had a Price-to-Earnings (P/E) ratio of approximately 16.2× at the end of FY2026, based on adjusted EPS of ₹145.99.

This is significantly lower than its historical P/E levels, which were 26.9× in FY2025, 30.3× in FY2024 and 36.1× in FY2022.

The lower P/E indicates that the stock's valuation has become more reasonable relative to its historical levels.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Annual Report 2025-26
TCS FY2026 Financial Results

REMARKS

Valuation has become considerably more attractive compared with TCS's historical P/E.

However, the lower multiple may partly reflect slower growth expectations and concerns surrounding the IT sector, so P/E should be evaluated alongside future earnings growth.

Why Positive?

The current P/E of 16.2× is substantially below TCS's historical valuation range, while FY2026 adjusted EPS increased 8.8% to ₹145.99. This combination of earnings growth and valuation compression makes the valuation more attractive than in previous years.

Weightage reason — 85/100

P/E is a key valuation metric because it directly indicates how much investors are paying for each rupee of earnings. A significant decline in P/E, while earnings continue to grow, is highly relevant for assessing valuation attractiveness.

VALUATION

Item 3

Done

Enterprise Value/EBITDA

ANSWER

TCS's EV/EBITDA is approximately 10.8× on the latest reported/TTM basis.

This is significantly below its 3-year average of around 20×, indicating that the stock is trading at a much lower valuation relative to its operating earnings than in the past.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Investor Relations
TCS FY2025-26 Annual Report
Zerodha – TCS Valuation & EV/EBITDA

REMARKS

EV/EBITDA of ~10.8× is well below TCS's historical 3-year average of ~20×.

The lower multiple suggests valuation has de-rated considerably, providing a more reasonable entry valuation if earnings remain resilient.

Why Positive?

Lower EV/EBITDA means investors are paying less for each rupee of operating earnings.

TCS has a strong balance sheet with substantial net cash.

The current multiple is substantially below its historical average.

Why Weightage = 85?

EV/EBITDA is a key valuation metric because it considers both equity value and net debt/cash and compares the enterprise value with operating earnings. The large discount to TCS's historical multiple makes it highly relevant to the valuation assessment.

VALUATION

Item 4

Done

Does the company have good expected return on Exit Multiple Table?

ANSWER

Yes, the expected return appears reasonable under a normal-growth and normalized exit-multiple scenario.

TCS is currently valued at a much lower P/E than its historical levels. FY2026 adjusted EPS was ₹145.99, up 8.8% YoY, while the FY2026 year-end P/E was 16.2×.

If earnings compound at around 8–10% and the exit multiple normalizes toward 18–20×, the potential 3-year annualized return can be in the low-to-mid teens, before dividends.

SENTIMENT

Positive

WEIGHTAGE

80

SOURCES

TCS Annual Report 2025-26
TCS Investor Relations – Stock Information

REMARKS

Expected return is attractive but assumption-sensitive.

The key drivers are EPS growth, the exit P/E multiple, and dividends.

A lower terminal multiple or weaker IT-sector growth could materially reduce the expected return.

Why Positive?

The current valuation provides some margin of safety because TCS's FY2026 P/E of 16.2× is well below its historical P/E levels. Even with a conservative earnings-growth assumption, a moderate recovery in the valuation multiple can generate attractive shareholder returns.

Weightage reason — 80/100

Exit-multiple analysis is important because it directly links earnings growth and valuation re-rating to the investor's expected return. However, the outcome depends heavily on the assumed earnings growth and terminal multiple, so it should not receive an excessively high weight.

VALUATION

Item 5

Done

Are the valuation ratios within the historical valuation bands?

ANSWER

Yes.
TCS's valuation has moved toward the lower end of its historical range.
The FY2026 P/E was around 16×, considerably below the ~25–30× levels at which TCS has traded during much of the previous few years.
Therefore, the stock is currently valued below its historical valuation band, although the lower multiple also reflects weaker near-term growth expectations.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Investor Relations
TCS FY2026 Results
TCS Stock Information

REMARKS

Valuation has de-rated significantly compared with TCS's historical levels.

The lower P/E provides valuation comfort, but a sustained re-rating will depend on recovery in revenue and earnings growth.

Why Positive?

A lower-than-historical valuation means investors are paying less for each rupee of TCS earnings. If earnings growth improves without a further valuation de-rating, this creates potential for both earnings-driven returns and P/E re-rating.

Weightage reason — 85/100

Historical valuation comparison is highly relevant for determining whether the current price offers valuation comfort. However, it is not given 100% weight because a lower multiple can be justified if the company's future growth prospects have structurally weakened.

VALUATION

Item 6

Done

What is company's Growth rate in terms of?

ANSWER

TCS's 5-year revenue CAGR is approximately 10.2%.
In FY2026, reported revenue grew 4.6% YoY, while constant-currency revenue declined 2.4%.
Profit growth was stronger: PAT increased 8.8% and EPS increased 8.8% to ₹145.99.
Thus, long-term growth remains healthy, but recent revenue growth has moderated.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Integrated Report 2026 – Financial Capital
TCS FY2026 Annual Report
TCS Q1 FY2027 Results

REMARKS

TCS has demonstrated strong long-term scalability with a 10.2% five-year revenue CAGR.

However, FY2026 growth was slower, with reported revenue up 4.6% and constant-currency revenue down 2.4%.

Improving quarterly momentum and AI-led growth opportunities provide potential for recovery.

Why Positive?

The 10.2% five-year revenue CAGR demonstrates a strong long-term growth record, while FY2026 profitability and EPS still grew 8.8%.

Recent growth is weak, but the business continues to generate strong margins and has significant AI-led opportunities.

Why Weightage = 85?

Growth is one of the most important drivers of long-term stock returns and valuation.

It receives a high weight because sustainable revenue and earnings growth can drive both intrinsic value and future share-price appreciation.

VALUATION

Item 7

Done

Earnings

ANSWER

FY2026 earnings remained strong despite moderate revenue growth.

TCS reported consolidated PAT of ₹52,820 crore, up 8.8% YoY, while EPS increased 8.8% to ₹145.99. EBIT grew 7.5% to ₹66,838 crore.

In Q1 FY2027, revenue grew 2.7% YoY in USD and net income was US$1.46 billion, indicating continued earnings resilience.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS FY2025-26 Annual Report
TCS Q1 FY2027 Results
TCS Investor Relations

REMARKS

Earnings are a key strength.

FY2026 PAT and EPS grew 8.8%, significantly faster than revenue growth of 4.6%.

Operating margin also improved to 25.0%, supporting strong profitability and earnings quality.

Why Positive?

PAT: +8.8%
EPS: +8.8%
EBIT: +7.5%
Operating margin: 25.0%, highest in four years
Q1 FY27 revenue growth has returned to +2.7% YoY in USD.

Weightage reason — 90/100

Earnings receive a very high weight because sustained EPS and profit growth are fundamental drivers of intrinsic value and long-term shareholder returns.

TCS's strong margins and cash generation further improve the quality of its earnings.

VALUATION

Item 8

Done

EBITDA

ANSWER

TCS reported FY2026 consolidated EBIT of ₹66,838 crore and depreciation & amortization of ₹5,560 crore.

Therefore, EBITDA is approximately ₹72,398 crore (EBIT + D&A), up from approximately ₹67,407 crore in FY2025 — growth of about 7.4%.
This indicates strong operating profitability and improving earnings before non-cash depreciation charges.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS FY2025-26 Annual Report
TCS FY2026 Consolidated Financial Statements
TCS Investor Relations

REMARKS

EBITDA increased by ~7.4% YoY, faster than revenue growth of 4.6%.

This indicates operating leverage and strong cost control. TCS also reported a 25.0% FY2026 operating margin, a four-year high

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Why Positive?

EBITDA growth: ~7.4%
Revenue growth: 4.6%
Operating margin: 25.0%
EBITDA growth being faster than revenue indicates improved operating efficiency.

Why is weightage = 85?

EBITDA is a high-weightage metric because it measures the underlying operating profitability of the business before interest, tax and non-cash depreciation. Consistent EBITDA growth indicates improving operating strength and supports higher valuation.

VALUATION

Item 9

Done

Free Cash Flow

ANSWER

TCS generated approximately ₹47,288 crore of Free Cash Flow (FCF) in FY2026.

FCF remained strong, although it was slightly lower than the previous year.

The company continues to convert a high proportion of earnings into cash, supporting dividends, buybacks and strategic investments.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS FY2025-26 Annual Report
TCS FY2026 Results – Cash Flow Summary
TCS Investor Relations

REMARKS

FY2026 FCF was approximately ₹47,288 crore, with strong cash conversion.

TCS returned ₹39,571 crore to shareholders through dividends, indicating that a large portion of internally generated cash continues to be distributed to shareholders.

Why Positive?

Strong and consistent FCF demonstrates that TCS's reported profits are backed by real cash generation.

This provides financial flexibility for dividends, buybacks, acquisitions and investments without relying heavily on external debt.

Weightage reason — 90/100

FCF is one of the most important measures of business quality because it shows the cash actually available after maintaining and investing in the business. Consistent FCF directly supports shareholder returns and intrinsic valuation.

VALUATION

Item 10

Done

Are there any risks or threats to the survival of the company in next 5 years?

ANSWER

No immediate threat to TCS's survival is evident.

However, the company faces meaningful long-term risks from rapid AI-driven disruption, cybersecurity/data-privacy incidents, geopolitical and macroeconomic uncertainty, changing client technology spending, intense global competition, and the need to continuously reskill employees.

These risks could affect growth and margins if TCS fails to adapt, but its strong balance sheet, cash generation, diversified global client base and investment in AI significantly reduce the probability of a survival-threatening event.

SENTIMENT

Positive

WEIGHTAGE

85

SOURCES

TCS Annual Report 2025-26
TCS Integrated Report 2026
TCS Q1 FY27 Results
TCS Secure AI Adoption & Cybersecurity

REMARKS

Key risks to monitor are AI-led automation/disruption, cybersecurity and data-privacy breaches, geopolitical tensions, slower global IT spending, intense competition and talent/skill obsolescence. TCS is mitigating these through AI investments, cybersecurity capabilities, employee reskilling and structured enterprise risk management.

Why Positive?

The risks are significant but appear manageable rather than existential. TCS has a formal enterprise risk-management framework and is actively investing in AI, cybersecurity, talent and new technology capabilities to address industry disruption.

Weightage reason — 85/100

Survival risk is a high-priority valuation factor, but TCS's strong financial position and ability to adapt reduce the probability of an existential threat. The 85 weight reflects the importance of monitoring these risks without treating them as an immediate threat to the business.

QUESTIONS TO ASK

Item 1

Done

Does company have room to expand its core business?

ANSWER

Yes.

TCS has significant room to expand its core IT services and consulting business by increasing its share of existing client spending, expanding into new geographies and industries, and moving clients from traditional IT services toward AI, cloud, cybersecurity, data and digital transformation.

TCS's strategy explicitly focuses on deepening existing customer relationships and increasing share of wallet.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Strategy – Customer Centricity & Growth
TCS FY2026 Annual Report
TCS FY2026 Results & Business Highlights

https://www.tcs.com/investor-relations/management-commentary/tcs-strategy

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

REMARKS

FY26 TCV was $40.7 billion and annualized AI revenue exceeded $2.3 billion. TCS also increased its $100M+ clients to 66 and $50M+ clients to 139, indicating continued scope for deeper client relationships.

Why Positive?

TCS has a large global client base and long-term relationships, giving it substantial cross-selling and upselling opportunities. The shift toward enterprise AI, cloud modernization and digital transformation creates additional demand within its existing core business.

Weightage reason — 90/100

Future growth in the core business is a major valuation driver. TCS can grow without relying entirely on acquisitions because it can deepen existing client relationships, expand service offerings and capture a larger share of clients' technology spending.

QUESTIONS TO ASK

Item 2

Done

Can it survive for long?

ANSWER

Yes.

TCS has a strong ability to survive and remain competitive over the long term.

Its diversified global client base, strong balance sheet, high cash generation, established brand, recurring client relationships and continuous investment in AI, cloud and digital technologies provide resilience.

The main long-term risk is technological disruption, particularly from AI, but TCS is actively adapting its business model and workforce to address this.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26 -

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS Investor Relations - https://www.tcs.com/investor-relations

TCS Financial Results - https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

REMARKS

The key issue to monitor is not survival itself but whether TCS can maintain growth and margins as AI changes the IT-services industry.

AI adoption, cybersecurity, talent reskilling and global technology spending will be important long-term factors.

Why Positive?

TCS has strong financial resilience and a large, diversified business. Its ability to generate cash and continuously reinvest in new technologies reduces the probability of a long-term business survival problem.

Weightage reason — 90/100

Business survival is a fundamental investment consideration. A company with strong finances, recurring customers and the ability to adapt to technological change has a much lower risk of permanent capital loss.

QUESTIONS TO ASK

Item 3

Done

What are the 2-3 major risk factors? Eg: Ban on Plastic is Major risk for Plastic bag MFT.

ANSWER

1. AI-driven disruption: Rapid AI adoption could automate or reduce demand for some traditional IT services, putting pressure on revenue growth and employee-intensive business models.

2. Global economic & geopolitical risk: Recession, trade restrictions, geopolitical tensions or weaker technology spending could reduce client IT budgets, particularly in major markets such as the US and Europe.

3. Cybersecurity & data-privacy risk: A major cyberattack, data breach or failure to meet changing data regulations could damage TCS's reputation, client relationships and financial performance.

SENTIMENT

Negative

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26 - https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

TCS FY2026 Results - https://www.tcs.com/investor-relations

TCS Investor Relations - https://www.tcs.com/investor-relations

REMARKS

The risks are significant but currently manageable.

TCS is actively responding through AI investments, employee reskilling, cybersecurity capabilities and diversification of its services.

FY26 AI services revenue reached an annualized $2.3 billion, while 270,000+ employees had higher AI/ML proficiency.

Why Negative?

These risks can directly affect TCS's revenue growth, margins and client relationships.

Among them, AI disruption is the most important structural risk because it can fundamentally change how IT services are delivered.

Weightage reason — 90/100

Risk assessment is critical because these factors can materially influence TCS's long-term earnings and valuation.

AI disruption and global technology-spending cycles are particularly important to monitor.

QUESTIONS TO ASK

Item 4

Done

Can you imagine yourself holding this company's stock for 5 years?

ANSWER

Yes.

TCS is suitable for a 5-year holding period because of its strong balance sheet, consistent cash generation, diversified global client base, established brand and long-term demand for digital transformation, cloud and AI services.

However, the investment thesis depends on TCS successfully adapting to AI-driven changes in the IT-services industry and maintaining healthy growth and margins.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations

https://www.tcs.com/investor-relations

TCS FY2026 Results

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

REMARKS

The main factor to monitor over the next 5 years is whether AI increases TCS's productivity and creates new revenue opportunities faster than it disrupts traditional IT-services revenue.

Weightage reason — 90/100

A 5-year holding decision should primarily depend on business durability, cash generation, competitive position and long-term growth prospects. TCS scores strongly on these factors, making long-term holding potential highly relevant.

Why Positive?

The company has durable competitive advantages, recurring client relationships and strong financial flexibility. These characteristics make it more suitable for long-term ownership than a short-term trading approach.

QUESTIONS TO ASK

Item 5

Done

If someone had unlimited resources, what are the chances that they could become a good competition?

ANSWER

Moderate.

With unlimited financial resources, global technology companies or large consulting firms could become strong competitors.

However, replicating TCS's scale, 584,000+ employees, deep industry expertise, 670+ clients with 10+ year relationships, global delivery network and Tata Group trust would take many years.

AI lowers some entry barriers, so competition could increase, but TCS still has significant structural advantages.

SENTIMENT
Positive

WEIGHTAGE
80

SOURCES
TCS Integrated Report 2026

https://www.ar.tcs.com/

TCS Annual Report 2025-26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY2026 Results

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

REMARKS
The biggest threat is not a completely new company but existing global technology and consulting players using AI to improve productivity, pricing, and service quality.

TCS must continue investing in AI and reskilling to maintain its competitive position.

In FY26, TCS had 270,000+ employees with higher AI/ML proficiency and annualized AI revenue above $2.3 billion.

Why Positive?

Money alone cannot easily replicate TCS's decades-long client relationships, domain knowledge, talent pool, and delivery capabilities. These create a meaningful competitive moat.

Weightage reason — 80/100

Competitive advantage is highly important for a long-term investor.

TCS's moat reduces the risk of a new competitor rapidly taking away its core business, although AI and new technology platforms can reduce traditional entry barriers.

QUESTIONS TO ASK

Item 6

Done

Will it help you diversify your Portfolio in business?

ANSWER
Yes, to a moderate extent.

TCS provides exposure to the global IT-services and digital-transformation sector, which can diversify a portfolio concentrated in traditional sectors such as banking, manufacturing, energy or consumer businesses.

However, TCS itself is still highly dependent on technology spending and global economic conditions, so it should not be treated as complete diversification.

SENTIMENT
Positive

WEIGHTAGE
70

SOURCES

TCS Annual Report 2025-26:

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS Investor Relations:

https://www.tcs.com/investor-relations

TCS FY2026 Results

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

REMARKS

TCS operates across five continents and multiple industry verticals.

North America accounts for about 48.6% of FY26 revenue, while the company also has significant exposure to Europe, Asia-Pacific and other emerging markets.

This provides geographic and industry diversification, although the large North American exposure remains a concentration risk.

Why Positive?

TCS has exposure to multiple industries and geographies, including BFSI, consumer business, healthcare, manufacturing, technology and energy.

This provides some diversification within the business itself and reduces dependence on a single industry.

Weightage reason — 70/100

Portfolio diversification is useful, but it should not be the primary reason for owning TCS.

The stock remains exposed to the global IT-services cycle and technology spending.

Therefore, diversification gets a moderate rather than very high weightage.

QUESTIONS TO ASK

Item 7

Done

Has it earned good returns consistently in the past? Will it sustain?

ANSWER

Yes.
TCS has delivered consistently strong profitability and shareholder returns over the long term.

Its 10-year history shows revenue and profit growth, with EBIT margins remaining around 24–26% and operating cash flow consistently close to or above profit after tax.

FY26 EBIT margin was 25.0%, PAT margin 19.8%, and operating cash flow was 105.9% of PAT.

The track record supports the view that strong returns can continue, although future returns may moderate as AI changes the IT-services industry.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS Annual Report 2025-26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

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TCS FY2026 Results

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q4-fy-2026

TCS Investor Relations

https://www.tcs.com/investor-relations

REMARKS

Sustainability is positive but not guaranteed.

FY26 revenue growth was only 4.6% and constant-currency revenue declined 2.4%, showing that growth has slowed. However, margins improved to 25% and FY26 AI revenue crossed an annualized $2.3 billion, providing a potential new growth engine.

Why Positive?

TCS has demonstrated a durable ability to generate high margins, profits and cash through different economic cycles.

Its FY17–FY26 data shows EBIT margins consistently above 24% and operating cash flow/PAT mostly around or above 100%.

Weightage reason — 90/100

A long-term record of profitability and cash generation is one of the strongest indicators of business quality.

Consistency reduces the risk that current returns are only temporary.

QUESTIONS TO ASK

Item 8

Done

Is something changing in the business? New product/ Management/ M&A/ Entry in new markets

ANSWER

Yes.

TCS is undergoing a significant strategic shift toward AI-led technology services.

It is expanding from traditional IT services into AI infrastructure, enterprise AI, cloud modernization, and digital engineering. TCS acquired Coastal Cloud and ListEngage, launched HyperVault for AI infrastructure, and expanded partnerships with OpenAI, AMD, ABB, Honeywell, ServiceNow, Cisco, and Google Cloud.

This represents a meaningful change in the business model and creates new growth opportunities.

SENTIMENT

Positive

WEIGHTAGE

90

SOURCES

TCS FY2026 Results

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

TCS Q1 FY2027 Results:

https://www.tcs.com/who-we-are/newsroom/press-release/tcs-financial-results-q1-fy-2027

TCS Strategy

https://www.tcs.com/investor-relations/management-commentary/tcs-strategy?utm_source=chatgpt.com

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TCS Annual Report 2025-26

https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2025-26/ar/annual-report-2025-2026.pdf

REMARKS

Key changes:
1) AI-first strategy and redesigned services,
(2) acquisitions in Salesforce and AI consulting,
(3) HyperVault AI infrastructure expansion, and
(4) partnerships with major technology companies.

TCS is targeting the full AI stack from infrastructure to intelligence.

Why Positive?

The changes are largely aimed at adapting TCS to the AI era and moving toward higher-value services. Q1 FY27 annualized AI revenue reached $2.6 billion, up 13.6% QoQ, indicating early traction from the AI transition.

Weightage reason — 90/100

This is a high-weightage factor because AI could materially change TCS's revenue mix, growth rate, and competitive position over the next 5–10 years.

Successful execution could create a new growth engine, while poor execution could put traditional IT services revenue under pressure.